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COLLEGE OF BUSINESS AND ECONOMICS
DEPARTMENT OF MANAGEMENT

Introduction to Management (MGMT 1051)

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Chapter one: management overview

DEFINITIONS:

- No single and universal definition for the term management.

H. Fayol defines as

- Management is a process of planning, organizing, commanding, controlling and coordinate resources, and achieve organizational goals/desired objectives

Key points

- ***Organizations:*** *A group of people working together in a structured and coordinated fashion to achieve a set of goals*
- ***Goal:*** *A desired future condition that the organization seeks to achieve*
- ***Management:*** *The process of using organizational resources to achieve the organization's goals by...**Planning, Organizing, Leading, and Controlling***
- **Coordination of all resources:** managers should coordinate the resources of an organization.
- **The five managerial functions**

Organizational performance

- Measures how efficiently and effectively managers use resources to satisfy customers and achieve goals
- ***Efficiency***: A measure of how well resources are used to achieve a goal
- It is getting high output or the same amount of output at the same amount of input or lower input, respectively.

Effectiveness: A measure of the appropriateness of the goals chosen (are these the right goals?), and degree to which they are achieved.

Who are managers?

- ***Manager*** - someone whose primary responsibility is to carry out the management process
- Someone who plans, makes decisions, organizes, leads, and controls human, financial, physical, and information resources.
- Responsible for achieving the organizational goals in an effective and efficient manner through proper scarce resource utilization
- A good manager is the one who feel sense of responsibility,

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- A manager is a person who has been **authorized**, **expressly** or **tacitly**, to **carry out acts of management** and to sign in the name of the trader. (Art. 33, of Ethiopian commercial code, 1960).

Characteristics of management

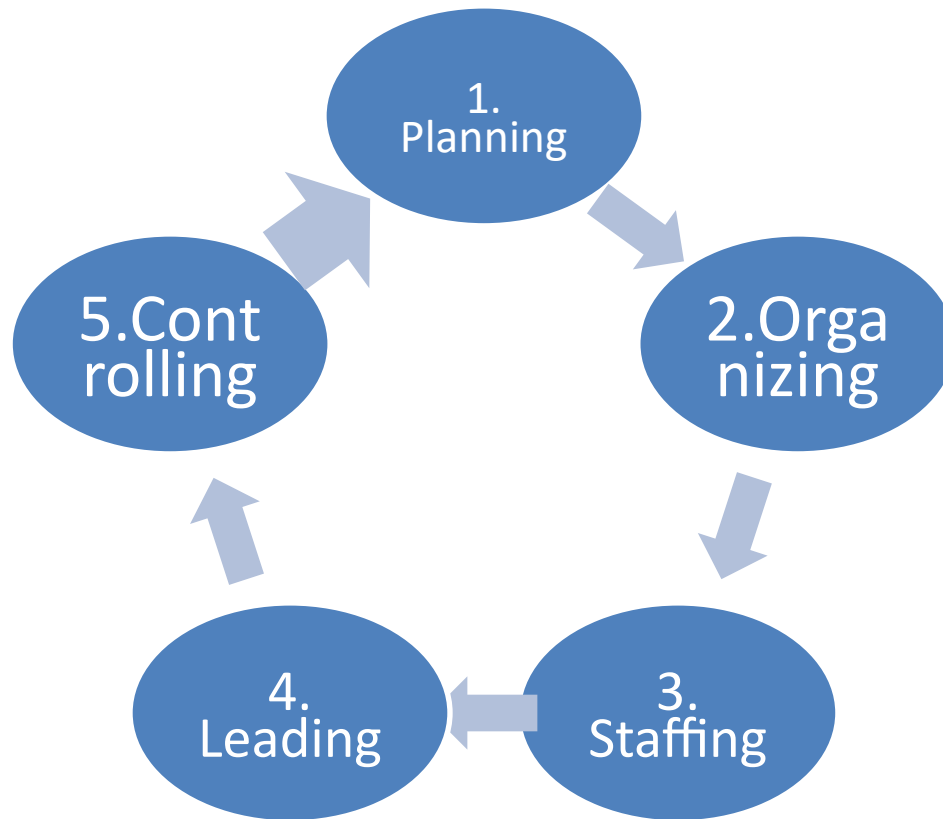
- ❖ It is goal oriented and It is a group activity
- ❖ It is a social process
- ❖ It is a dynamic function
- ❖ It is a system of authority
- ❖ It is intangible
- ❖ It is a profession

Significance of management

- ❖ It help to identify companies goals or objectives.
- ❖ It facilitate accomplishment of goals by planning resources and by directing and controlling activities.
- ❖ It establish sound organizational structure by clearly defining authority and responsibility.
- ❖ To formulate and implement organizational policies.
- ❖ Coordination of factors of production

Managerial Functions

- The five managerial functions are:



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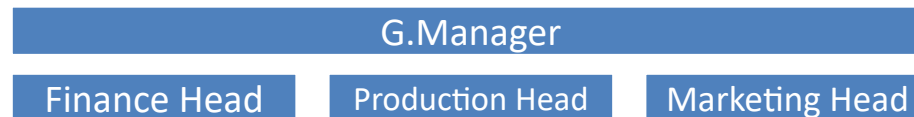
1. **Planning** Is the process that managers use to identify and select appropriate goals and alternative ways of attaining them.
- ❖ The first function all managers engage in because it lays the ground work for other managerial functions
- ❖ It is concerned with determining the **objectives** of an organization and the **means** of achieving them.
- ❖ It is a function that determine in advance
 - What should be done or Which goals should be pursued
 - How it should be done or How should the goal be attained
 - How should resources be allocated?
 - When it is to be done.

Plans can be classified as

- Long range
- Intermediate range
- Short range

Cont'd...

2. Organizing It is the function in which the managers develop the organization structure that allows working together and achieve organizational goals.
- ❖ Includes grouping of similar tasks together to create departments.
 - ❖ It involves creating job positions with assigned duties and responsibilities.
 - ❖ Is process of delegating authority to the job holder and making the workers responsible and accountable for the results of their work
 - ❖ It focuses on allocating and arranging human and non-human resources



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3. **Staffing** : involves filling and keeping filled positions in the organization structure
- It is concerned with locating prospective employees to fill the jobs created by the organizing process
 - It basically deals announcing vacancies, accepting and identifying the potential candidates for the job, recruiting, selecting, placing, orienting, training and promoting both candidates and existing employees.
 - Staffing is concerned with human resource of the organization.

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4. Leading/Directing

- In leading, managers determine direction, state a clear vision for employees to follow, and help employees understand the role they play in attaining goals.
- Involves influencing and motivating employees in one or another ways to make them implement their job assignments willingly.
- ❖ Managers need to understand individual and group behavior, techniques of communication, techniques of motivation and effective style of leadership
- ❖ The outcome of the leading function is high level of **motivation** and commitment by the employees.

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5. **Controlling** : It is the process of comparing actual performance with the sated standard.

- In controlling, managers evaluate how well the organization is achieving its goals and takes corrective action to improve performance.

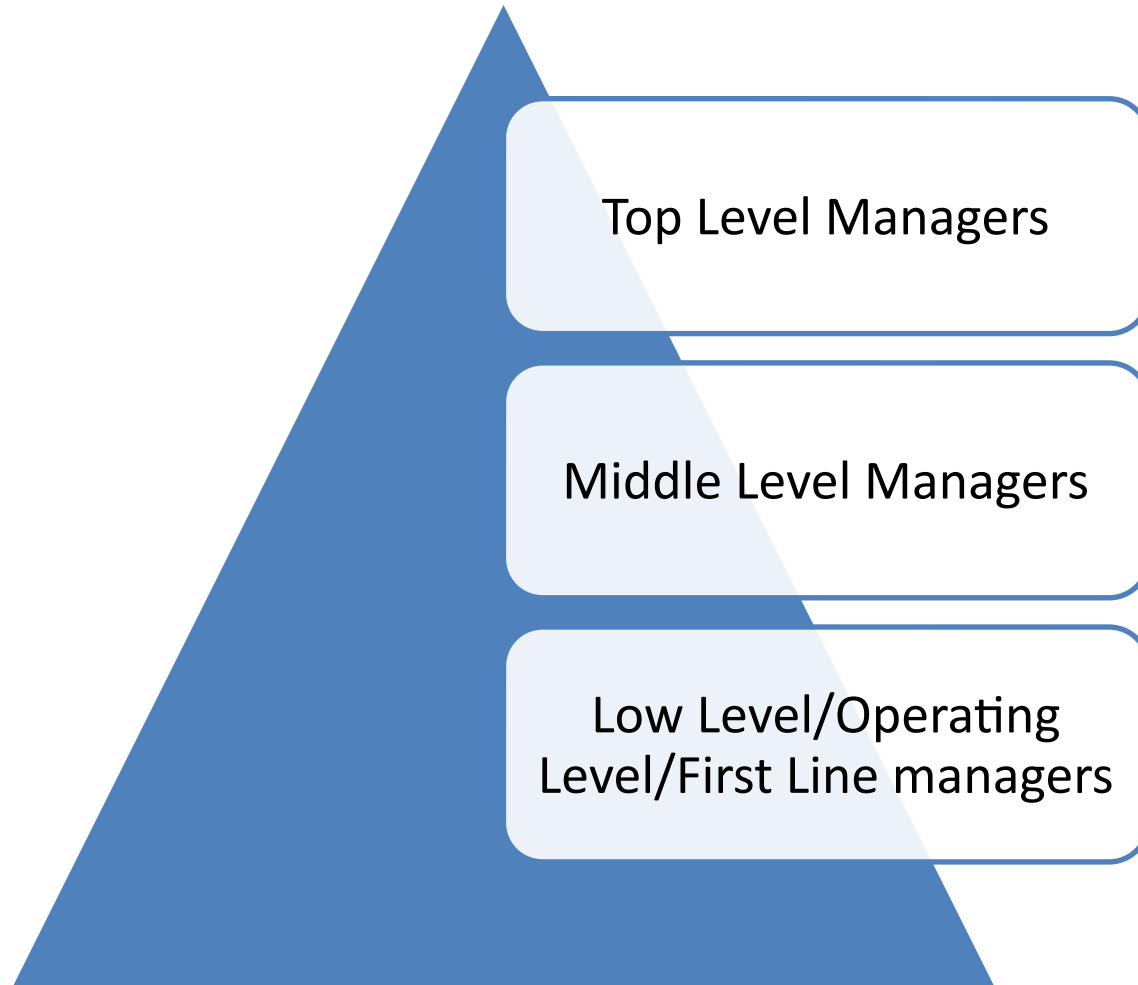
Controlling managerial functions involves:

- Setting of standard against which work progress is measured.
- Comparing actual performance against the standard.
- identifying and initially examining causes of deviations between the standard and the actual performance
- Taking corrective actions to eliminate causes of unfavorable deviations
- The aim of controlling is to take **corrective action** if the performance is lower than the plan.
- The outcome of the controlling function is the **accurate measurement of performance**.

Levels of management

- ❖ Levels are Hierarchical arrangement of managerial positions in an organization
- ❖ One of the best ways to study the activities of management is classifying them in to different levels.
- ❖ Organizations' level of management varies with the size of the organization.
- ❖ Management level commonly classified in to three. These are top level, middle level and lower level management

Levels of management



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Top Level Managers: are managers who are at the top of the organizational hierarchy and are responsible for the entire organization

- They are few in number because of the nature of the work they perform
- They establish company wide objectives, policies, strategies, long term plans, and make major decisions.
- Represent the organization (deal with external bodies)
- Spent much of their time in planning and dealing with middle level managers and other subordinates
- Develop overall structure of the organization
- ❖ Their title includes Board of Directors, Executive Committee, Chief Executive, President, and General Manager.

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Middle Level Managers: occupy a position in an organization that is above first-line management and below top management

- They interpret and implement top management directives and forward messages to and from first-line management

The major functions are:

- They act as intermediary between top and operating level managers
- develop medium range plans
- Receive broad/overall strategies from top managers and translate it into specific objectives and plans for First-Line Managers/operating managers
- Are responsible for the proper implementation of policies and strategies defined by top level managers
- They supervise first line managers.
- Their title includes. Academic deans, Division Head, Plant managers, Army captain

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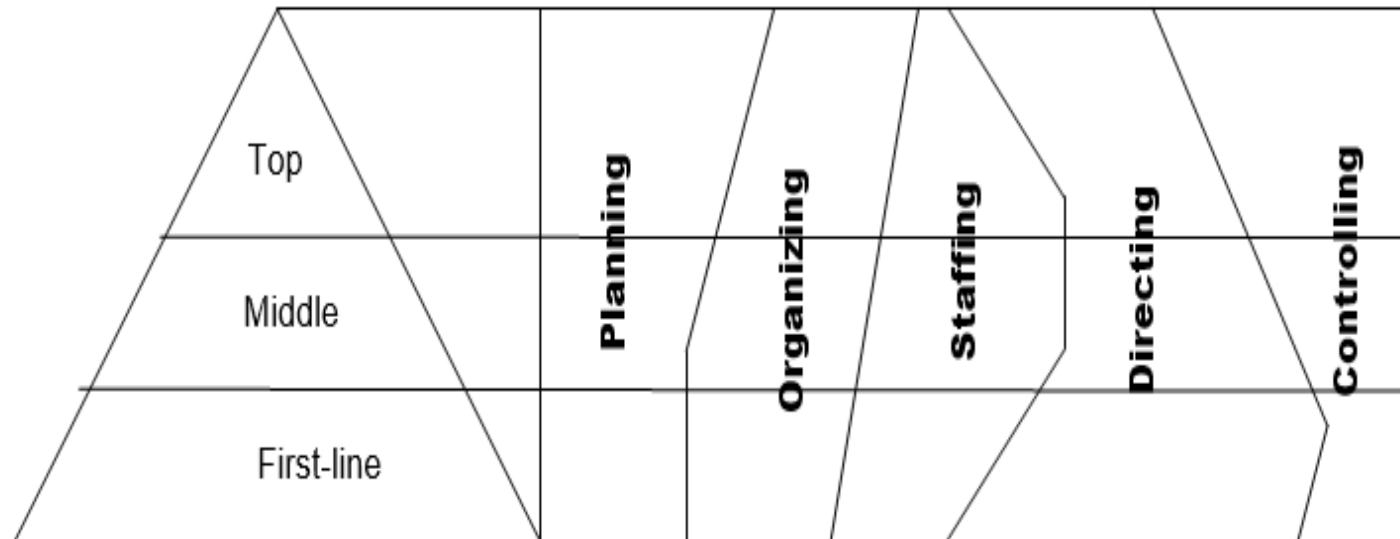
Operating Level Managers: are managers whose subordinates are non management workers or operating employees

They are responsible for day-to-day operation. They supervise the people performing the activities required to make the good or service .

The major functions of operating level managers are:

- They are responsible for coordinating work of operating employees.
- Assign operating employees to specific tasks
- Motivate subordinates to change or improve their performance.
- Planning daily and weekly activities and accomplishment based on the monthly, quarterly, and yearly plans.
- Issuing instructions at the work place, following up, motivating and evaluating workers and reporting to their superiors
- Spent much of their time in leading and little in planning.
- ❖ Their typical title includes Heads, Sales managers

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Organizational Hierarchy

Time spent on carrying out managerial functions

The relative importance of the managerial functions at different levels

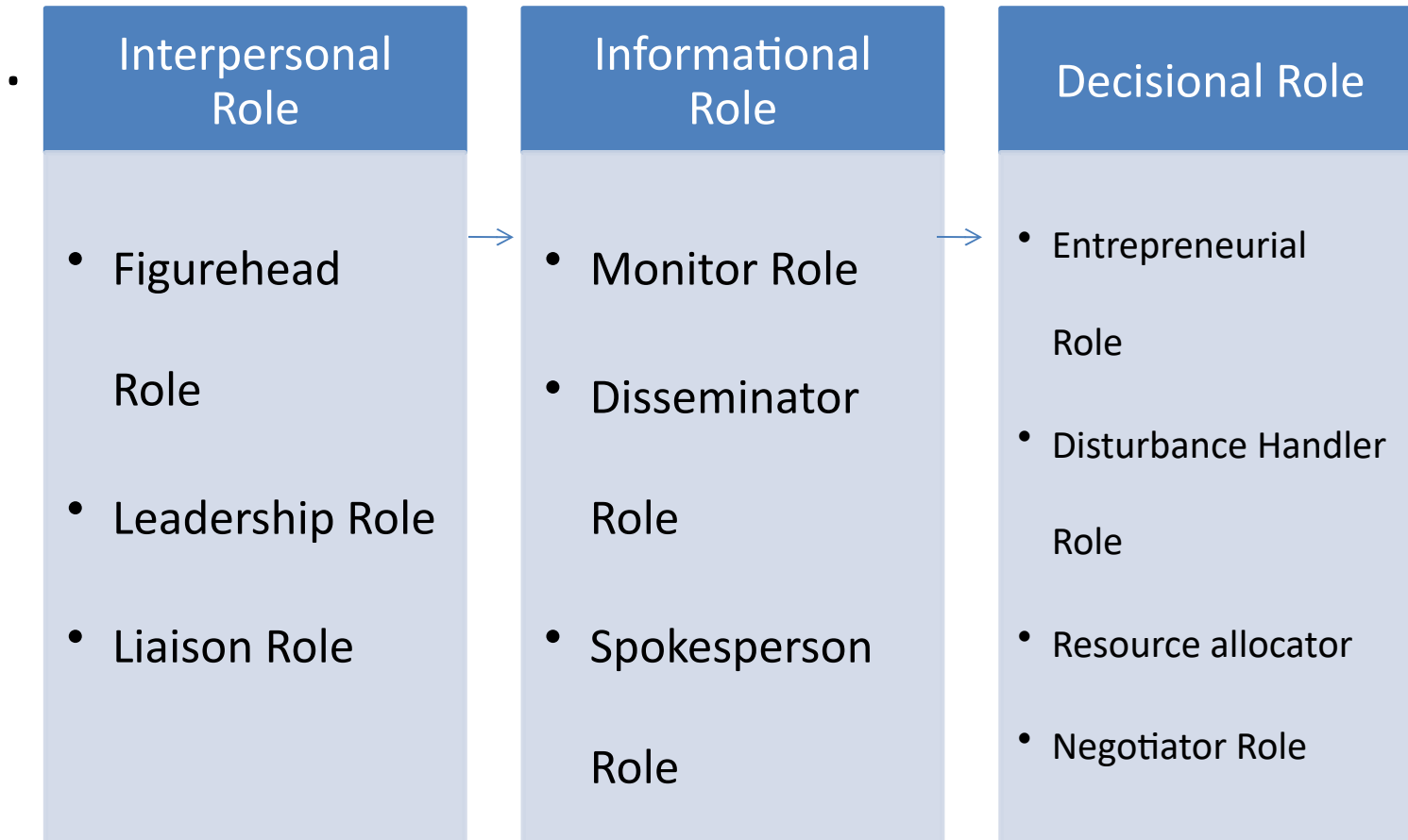
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- ❖ Managers can also be classified based on the scope of activities they manage.
 - Functional Managers
 - General Managers
- 1. Functional Managers have specialized skills in single area of operation such as accounting, marketing, and production.
 - Supervise employees (managers + workers) with specialized skills in specific areas of operations such as finance, marketing, production, or sales etc
- 2. General Managers are managers who are responsible for several departments that perform different functions .
 - They are responsible for the entire operations of the organization without being specific

Managerial Roles

- All managers must play some role and must have some skills to be effective.
- Role is an organized set of behaviors that is associated with a particular office or position.
- Henry Mintzberg identified ten managerial roles by closely observing the day to day activities of managers and divided them into three.

Managerial Roles



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1. Interpersonal Role- Involves dealing with other people and it arise from managers formal authority.
 - involve developing and maintaining positive relationships with others in the organization

1.1. Figurehead role

- Managers act as representatives of the organization.
- Managers represent the organization at ceremonial and symbolic functions like making speech, signing documents

e.g. university president hands out a
for graduates



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1.2. Leadership Role: Managers are assumed as leaders when they influence, initiate and motivate the subordinates so that the subordinates achieve organizational goals

- This is at the heart of the manager-subordinate relationship
- The leader builds relationship and communicates with employees, motivates and coaches them
- Managers influence behavior and activities of their followers in order to accomplish organizational objectives.
- As a leader, the manager is responsible for hiring, training, motivating and encouraging employees/subordinates
- The leadership role is evident in the interpersonal relationship between manager and her subordinates

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1.3. Liaison Role

- It refers to dealing with people outside like customers, government officials, and suppliers.
- The liaison maintains a network of contacts outside the work unit to obtain information.
- it also refers to dealing with managers in other departments, staff specialists, and other departments' employees
- in liaison role manager seeks support from people who can affect the department's and organization's success.

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2. Informational Role : focuses on the transmission of important information to and from internal and external sources

- It involves receiving and communicating information.

2.1. Monitor Role: is also called **information gathering role**

- refers to seeking, receiving, screening and getting information
- The manager is constantly monitoring the environment to determine what is going on.
- Information is gathered from news reports, magazines, clients and attending seminars and exhibitions.

2.2. Disseminator Role: - in this role managers share information with subordinates and other members of the organization

- The manager interprets/disseminates information to subordinates e.g. policies, rules, regulations

Cont...

2.3. Spokes person role:

- When managers transmit the information to outside of the organization or to outside of the unit.
- One aspect of their role is to keep superiors well informed and a second aspect is to communicate outside the organization like government agencies, customers and labor unions
- Key influencers and stakeholders are kept informed of performances, plans & policies.



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3. Decisional Role: involve making significant decisions that affect the organization. . it consists of Entrepreneur Role, Disturbance Handler Role, Resource Allocator Role and The Negotiator Role

3.1. Entrepreneurial Role: the manager acting as an entrepreneur recognizes problems and opportunities and initiates actions that will move the organization in the desired direction.

Eg. creates new projects and institutes other important programs for improving the company's performance.

- It may include such activities as initiating new projects, launch survey, test new markets etc

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3.2. Disturbance handler role: also called **solution seeking role**

- Managers play this role when they deal with problems .
- The disturbance handler is responsible for taking corrective action when the organization faces important, unexpected difficulties
- the manager responds to situations such as unexpected events that may affect the firm performance



- Conflict between workers
- Labor strikes
-

3.3. Resource Allocator: deciding on the allocation of the organization's physical, financial and human resources

- This involves assigning work to subordinates, scheduling meetings, approving budgets, deciding on pay increases, and other matters related to the firm's human, financial, and material resources
- The resource allocator distributes resources of all types, including time, funding (finance), equipment and human resources.

3.4. Negotiator Role: is role in which managers' work with suppliers, distributor, and labor unions to reach on agreements about the quality and price of inputs

- work with other organizations to establish agreements to pool resources to work on joint projects
- Negotiations are an integral part of managers' job
- The spokesman, figurehead and resource allocator roles demand this.

Managerial Skills and their Relative Importance

- Skills are specific abilities that result from knowledge, information, practice, and aptitude.
- As the job of managers is complex it needs multidimensional skills.
- Effective managers are essential to the performance of all organizations, whether they have the ability to plan, organize, staff, lead and control business operations effectively can determine a firm's ultimate success or failure.
- Management success depend both on fundamental understanding of the principles of management and the application of technical, human and conceptual skills.
- The principal skills managers need can be classified as:
 1. Technical Skills
 2. Human Relation/ Interpersonal Skills
 3. Conceptual skills

Cont...

1. **Technical Skills** : is the ability to use specific knowledge, technique, methods or resources in specialized field.
 - It includes mastery of the methods, techniques, and equipment involved in specific functions, such as engineering, manufacturing, or finance.
 - Technical skills are most important at the lower levels of management.
 - It becomes less important as we move up the chain of command
 - E.g. A surgeon, an engineer, a musician, a quality controller or an accountant all have technical skill in their respective areas

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2. Human Relation/ Interpersonal Skills

- It is the manager's ability to work with other
- It is the ability to work with, understand and motivate other people, either as individuals or as groups.
- Managers need enough of human relationships skill to be able to participate effectively and lead groups
- This skill is a reflection of the manager's leadership ability.
- human relation skills are equally important at **all levels of management.**

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3. Conceptual skills

- Managers need the mental capacity to understand the overall working of the organization.
- It also involves the manager's ability to understand how a change in any given part can affect the whole organization
- ❖ It involves the managers information processing, thinking, and planning abilities.
- ❖ Conceptual skills are more important in strategic (long range) planning
- ❖ The managerial activities that require conceptual skill includes **decision making, planning, and organizing**.
- ❖ Conceptual skill is more important for the top level managers.

Is management a science or art?

- Science is a systematized knowledge derived from observation, study, and experimentation carried on in order to determine the natures and principles of the subject under study.
- Management is a science because it is based on principles which are derived from the detailed study and observation.
- Art is the application of knowledge and skills to the specific time, place and condition tactfully, creatively and wisely.
- Management is an art because managers apply Judgment, decision making, and motivation

END OF CHAPTER ONE !!!!!

Chapter Two

**Emergency and development of management
thought**

Management in Antiquity and Pioneer Contributors

- Management is as old as human civilization. That is since the day when people first attempted to accomplish goals by working together in a group.
- ❖ Management thought has been shaped over a period of centuries by three major factors
 - Social**- refers to those aspects of a culture that guide and influence relationship among people.
 - Economical**- pertain to the availability, production and distribution of resources in a society.
 - Political**- refers to the influence of legal and political institution on people and organization
 - Technological**: Technological influences relate to advances and refinements in any of the devices used in conjunction with conducting

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From the examples that show management was effectively used in ancient time

1. **Egyptian civilization-** The construction of the Egyptian pyramid

- ❖ The ancient Egyptians constructed the pyramid by 100,000 labor forces for 20 years on 13 hectares of land using 2,300,00 stones.
- ❖ This construction is equivalent with managing a city with a population of 100,000 for 20 years.

2. **Romans:** They were implemented organized structure for communication and control.

- ❖ Roman Catholic Church: also used placement and selection properly
- ❖ One was the church's wide use of job descriptions for its priests, presbyters, and other religious workers.
- ❖ Everyone's duties were clear, and the chain of command (hierarchy of authority) that extended from the pope to the laity was created.
- ❖ Specialization of activities: there was a training to be pope, Bishop, Priest and laity.

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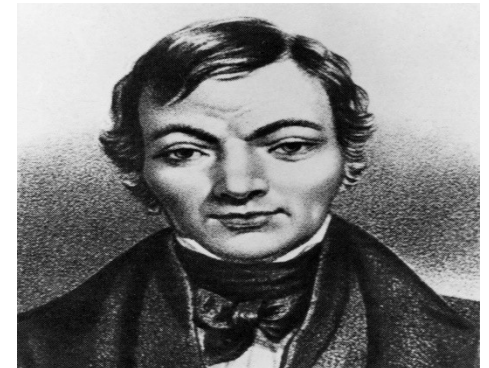
3. Early Greeks were known for their management concepts such as specialization
4. Ethiopia is also one best example that shows how management was effectively utilized in ancient time

Early Management Pioneers (Contributors)

- ❖ The management practice go back several thousand years
- ❖ development of management as field of knowledge is recent; it starts with the industrial revolution(in the early 1800 s)

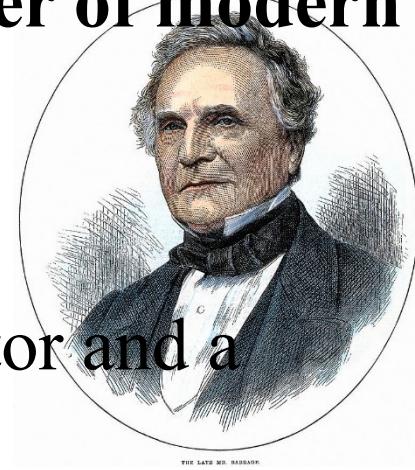
Robert Owen (1771-1858)

- ❖ He was a British industrialist and owner-manager of cotton mills in Scotland.
- ❖ At that time working and living conditions for employees were very poor.
- ❖ Workers were treated as tools and machine.
- ❖ Child workers were common
- ❖ Working day was 13 hours long



Cont'd...

- ❖ From the changes that he made
 - Reduced working hrs from 13 to 10 hrs/day.
 - Set minimum hiring age 10 years.
 - Provided meal, housing, and shopping facilities for employees.
 - Improved working condition in the factory
- ❖ For his contribution Robert Owen called “**father of modern personnel management**”.



2. **Charles Babbage** (1792-1871)

- ❖ He built the first practical mechanical calculator and a prototype of modern computers
- ❖ He is called “The father of **modern computing**”.

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❖ **The contributions of Babbage to management**

- The use of mathematics to efficiently use facilities and materials.
- 📖 Economies of scale in manufacturing.
- Profit sharing system (bonus for suggestion and part of wage that depends on the company profit)
- Division of labor (improve the skill of workers and reduce training costs)
- Importance of good relationship between management and workers.

Adam Smith

- ❖ He contributed to the development of management thought by writing about division of labor in his book “The wealth of nation”.
- ❖ He indicated that specialization could increase efficiency by
 - Minimizing the loss of time
 - Increasing speed



1. Classical Management Theory

- ❖ Classical management theory emerged during the industrial revolution.
- ❖ The classical viewpoint is a perspective on management that emphasize finding ways to manage work and organizations more efficiently.
- ❖ It is made up of three different approaches:
 - Scientific Management
 - Administrative Management(classical organization theory)
 - Bureaucratic Management.

1.1. Scientific Management Theory

- ❖ This theory emphasize on the scientific study of work methods in order to improve worker efficiency.
- ❖ The major contributor of scientific management is Fredric W. Taylor (father of scientific management)
- ❖ Additional contributors:
 - Frank and Lillian Gilbreth
 - Henry Gantt

Frederick W. Taylor (1856-1915)



- ❖ Taylor is also known as “the father of scientific management”
- ❖ Taylor was a foreman in Midvale steel company.
- ❖ He studied the companies problem and found out that
 - Management had no clear concept of worker-management responsibility.
 - No effective work standards were applied
 - No incentive was used to improve labor’s performance (soldiering)
 - Managerial decisions were made based on intuition, rule of thumb.

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- ❖ To solve the above mentioned problems Taylor put as a solution
 1. Timed each element of the work and standardized how much each worker has to produce given the required resource per day or per month.
 2. Introduced “piece rate pay system” (differential rate system)

- ❖ From the studies Taylor conducted

1. Time and Motion Study

- The objective: to **standardize activities**.

The **steps** are:

- *Divide the task in to motion (elements)*
- *Eliminate unnecessary motions*
- *Determine the best way to do the job*
- *Timing each motion*
- *Understand how many unit to produce per day.*

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2. Uniform method of routine task

Objective: to adjust workers with work.

3. Functional Foremanship study

Objective: -To scientifically select the best worker for a given job based on his skill and potential for learning.

-Which man for which work

4. Individual Incentive

Objective: -To determine the appropriate wage or salary

-This study helped him to find a solution for the problem of delaying performance (*Soldiering*)

Cont'd.....

❖ After conducting the above study he wrote a book called “ *principle of scientific management*”. The four principles included are

1. Replace the rule of thumb method by scientific method
2. Heartily cooperate with the workers
3. Scientifically select, train and develop workers
4. Equal division of work and responsibility between worker and managers.

Frank and Lilian Gilbreths



- ❖ They are contemporaries of Taylor and part of the original scientific management pioneers
- ❖ They work on the elimination of waste and the discovery of ‘one best way’ of doing work.
- ❖ He was a management consultant
- ❖ Develop a method which cut motions in to lay bricks
- ❖ Identified 17 on the job motions and called them THERBLIGS
- ❖ Named as a “**father of motion study**”.
- ❖ In undertaking his work, he was greatly supported by his wife Lillian Gilberth.

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- ❖ She pioneered field of **Personnel administration**
- ❖ She argued that scientific management helps people reach their maximum potential by developing their skill and ability.
- ❖ She named as the **first lady of management**

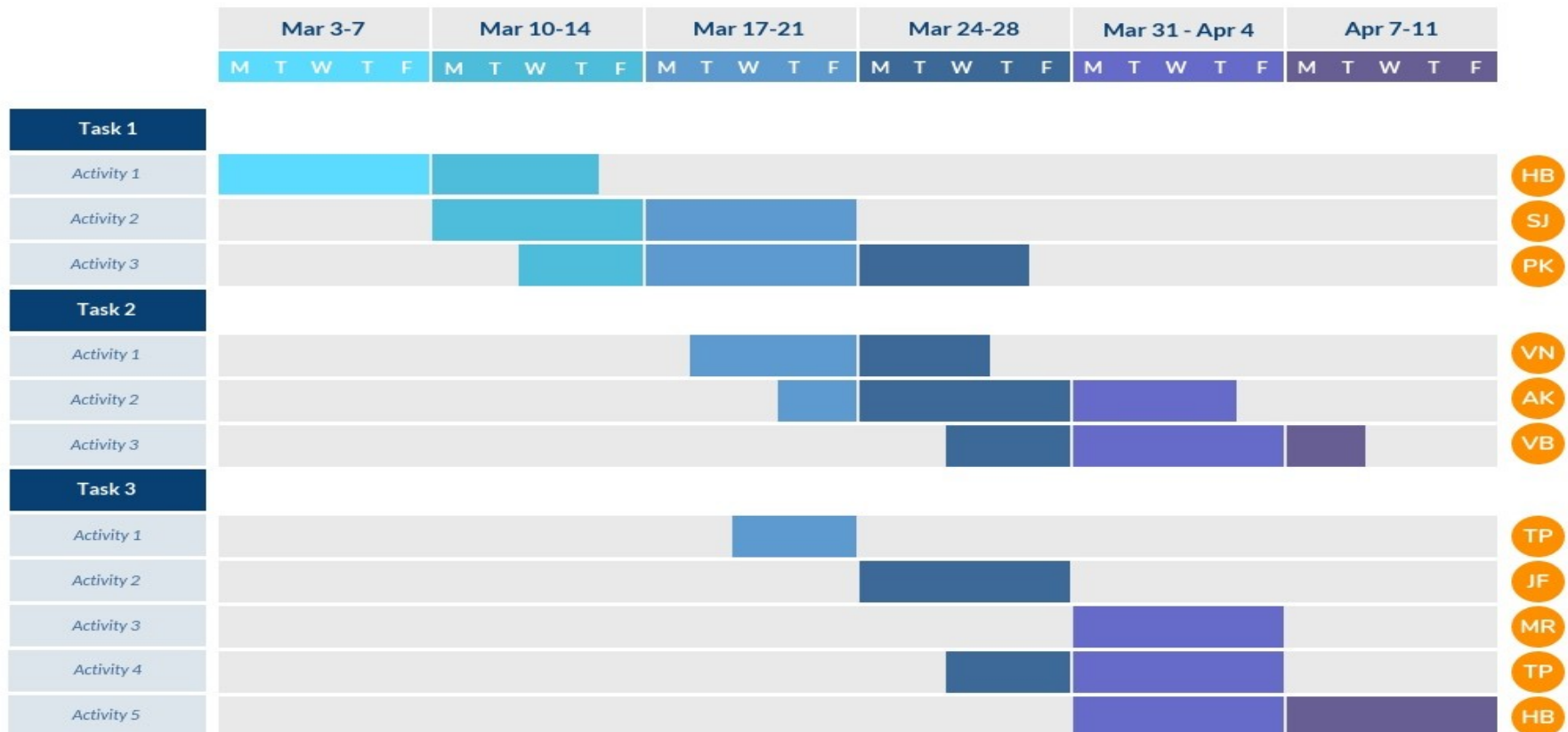
Henry L. Gantt



- ❖ He developed a graphical method of scheduling work, which helps to increase workers output.
- ❖ The chart called Gant chart.
- ❖ The chart helps for planning and controlling work.

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- Example of Gantt chart



Contributions of scientific management theory

- ❖ Specialization increase productivity
- ❖ The efficiency techniques- Time and motion study
- ❖ Helps to recognize the importance of scientifically selecting and developing workers

Weaknesses of scientific management

1. It misread the human element
 - It equated people with machine
2. It saw no other motivator other than money
3. It was relevant to solve only the problem of lower level managers (not considered the whole organization)
4. Does not consider individual difference

1.2. Classical organization theory

- ❖ This theory focused on the **management of the entire organization** unlike the scientific management theory which focuses on production.
- ❖ *Henri Fayol* was the major contributor of this thought.
- ❖ He is the one who identified
 1. The major types of activities involved in an industry or a business as:
 - Technical
 - Security
 - commercial
 - Financial
 - Accounting
 - Managerial
 2. Management as a separate field of study
 3. General management principles



Fayol's 14 principles of management

1. Division of labor- specialization
2. Authority and responsibility
3. Discipline- respect rules and regulations of an organization
4. Unity of command- one employee, one boss
5. Unity of direction- one set of objectives, one head and one plan
6. Subordination of individual interest to the general interest- give priority for organizational goal
7. Centralization- amount of authority concentrated at the top
8. Remuneration of staff/personnel
9. Scalar chain/chain of command- defines the path of communication/line of authority
10. Order- things should exist in the right place at the right time.
11. Equity-managers should be friendly and fair.
12. Stability of tenure of personnel
13. Initiative- managers should not decide every thing.
14. Esprit decorps- In union there is strength.

Contributions of classical organization theory

- ❖ The position Fayol took in distinguishing **management as a discipline** is worth studying
- ❖ The 14 basic **management principles**
- ❖ The five element of administration(**functions of management**).

Limitations of classical organization theory

- ❖ Some of the principles are rigid.

Example

- Chain of command
- Unity of command

- ❖ The 14 principles are applicable in a relatively stable and predictable environment hence they have less applicability in the today's turbulent environment.
- ❖ The principles are to general for today's complex organization.

1.3. Bureaucratic theory

- ❖ **Max Weber** introduces most of the concepts in this theory.
- ❖ Taylor and Fayol: concerned for solving practical managerial problems.
- ❖ Max Weber: concerned for the more fundamental issues of how organizations are designed and structured.

Characteristics of Bureaucracy

1. Division of labor
2. Managerial hierarchy/chain of command
3. Clear authority and responsibility.
4. Formal rules and other methods



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Benefits of Bureaucracy

- ❖ Specialization
- ❖ Overlapping duties can easily be avoided
- ❖ Hiring and promotion are based on merits and excellence
- ❖ Consistent employee behavior

Weakness of bureaucracy

- ❖ There is too much paper work and red tapes.
- ❖ Resistance to new ideas and change
- ❖ Disregards the informal organization or the social environment

2. Behavioral management theory

- ❖ It is a study of observable and verifiable human behavior in organizations by using scientific methods.
- ❖ Abraham Maslow, Douglas Macgregor & Elton Mayo were the well known contributors of this theory.
- ❖ Of these Elton Mayo was the most prominent one.
- ❖ Focus on human dimensions of organization.
- ❖ Objective: to identify factors that affect productivity of employees.



Hawthorne study

❖ The study had four phases:

Phase one: Illumination experiment

- To study the effect of illumination on output
- Finding: no strong relationship b/n output and light

Phase two: The relay assembly test room experiment

- To study the effect of rest period on productivity
- Finding: Productivity is not affected by physical change.

Phase three: the massive interview program

- To identify factors that affect employees productivity.
- Over 20,000 employees were involved
- Finding: peers had an effect on individuals performance

Phase four: the Bank wiring observation room study

- To study the effect of work piece incentives(economic incentives) on performance
- Finding: incentives are less important in determining out put

Findings of Hawthorne experiment

- ❖ Physical working condition did not affect productivity
- ❖ There are other factors that affect productivity. thus are social and psychological nature
- ❖ Leadership that can understand individual and group behavior were necessary
- ❖ Hawthorne effect: when people know that they are being watched, they will act differently than when they are not aware of being observed.

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Contribution of Behavioral Management Theory

- ❖ Change the management thinking: managers realize the importance of people and realize workers as valuable resources.
- ❖ Found out that the satisfaction of social and psychological needs could result in more performance of workers.

Limitation of Behavioral Management Theory

- ❖ The complexity of individual behavior makes the predication of that behavior difficult.
- ❖ Their style was unethical as they used human beings as experimental units in laboratory.

3. Modern theory of management

- ❖ Different from the classical and behavioral management theories
- ❖ the modern approaches to management considers the external environment.

3.1. System Approach

- ❖ A system is an interrelated and interdependent set of elements functioning as a whole to achieve a common goal.
- ❖ Organizational system has four major components

Input- resources that help to produce goods or service.

Transformation process- ability to convert input to output

Output- the product or the service.

Feedback- information about results and organizational status.

Types of system

❖ There are two types of systems

Open system- there is continual interaction with the environment.

The characteristics of open system:

- Negative Entropy-

 - **Entropy**- the tendency of a system to decay overtime.

 - **Negative Entropy**: ability to bring a new energy in the form of input and feedback.

- Synergy-“the whole is greater than the sum of it’s parts”.

- Steady state- balanced input and output.

- Differentiation: is the tendency of open system to become more complex

CONT'D.....

Closed system- few or no interaction with the environment.

3.2. Contingency/Situational theory

❖ This theory states that, there is no single plan, universal principle, organizational structure, leadership style that will fit all situations.

END OF CHAPTER TWO

Chapter three

planning

Introduction

- ❖ Is the process of setting objectives and determining the steps needed to attain them.
 - ❖ Deals with ends (what is to be done).
 - ❖ Planning answers six basic questions in regard to any intended activity (objective). *what, when, where, who, how and how much*
- in planning managers:
- Assess the future
 - Determine objectives of the organization and develop the overall strategies.
 - Determine resources needed to achieve the objectives

Importance of planning

- ❖ provides direction and sense of purpose.
- ❖ It helps to accomplish the objective.
- ❖ It helps to reduce uncertainty.
- ❖ It provides guideline for decision making.
- ❖ It provides basis for controlling.
- ❖ It forces managers to see the organization as a system
- ❖ It promote efficiency.

Nature of planning

- ❖ It is goal oriented.
- ❖ Primacy of planning.
- ❖ Pervasiveness/ universality of planning.
- ❖ Planning is a continuous process.
- ❖ Planning is the means to an end.
- ❖ Plans are arranged in a hierarchy.

Goals in an organization

- ❖ The term objective or goal indicate an end result to be accomplished.
- ❖ It means the desired future state that the organization attempts to realize.
- ❖ Setting goal starts from top managers.
- ❖ The overall planning process begins with a mission statement and strategic goals for the organization as whole
- ❖ Mission is the organization's **reason for existence**
 - Broadly states the basic business scope and operations that distinguishes it from similar types of organizations.
 - May include the market and customers
 - Some may describe company values, and product quality

Levels of Goals/Plans



The planning process

❖ Planning can be considered as a series of sequential steps.

1. Establishing objective/setting organizational goals.

It has three steps:

- Assessing the present situation
- Anticipating future conditions
- Setting the objectives

2. Environmental Analysis and forecasting.

3. Determining alternative courses of action

4. Evaluating alternative courses of action

5. Selecting a course of action

6. Implementing the plan.

7. Controlling and evaluating the results

Types of plan

Factor	Type
Time	-Short-range -Intermediate -Long-range
How repeatedly used	-Single use plan(program, project, budget) -Standing plans(policies, procedure, rules)
Breadth/Scope	- Strategic - Tactical - Operational

1. Time dimension

Based on Time Dimension

❖ Based on the length of time a plan covers, we may have:

1. Long-range plan- covers five year or more.
2. Medium-range/ intermediate plan- covers between 1-5 years.
3. Short-range plan- covers one year or less.

2. Based on Use

This classification is based on their usage(how repeatedly/frequently a given plan is used)

2.1. Single use plans

- ❖ Are developed to achieve *specific purposes* and most likely not reoccur in the future. used for *short period* of time
- ❖ They are developed for relatively *unique and non-repetitive* situation.

A. Program: is a *comprehensive* plan that specifies many activities and allocation of resources

- ❖ coordinates a complex sets of activities related to a major non repetitive goal
- ❖ A program may be repeated with modification but not as it is
- ❖ A one-time organizational goal.
- ❖ Large in scope and complex in nature

Example: Building a ware house

B . Projects: is a plan that coordinates a set of limited scope activities that do not need to be divided in to several major projects.

- ❖ It is a plan for attaining a one-time organizational goal.
- ❖ Smaller in scope and separate portions of programs; shorter time duration.
- ❖ Often one part of a large program

Example: preparation of layout drawings, report on labor availability

Cont'd...

c. Budget

- ❖ Budgets are statements of financial resources set aside for specific activities in a given period of time.
- ❖ Are statements of expected results expressed in numerical terms
- ❖ It is a device to accomplish a program or a project.
- ❖ It can be considered as a part in a program or a project

2.2. STANDING PLANS

- ❖ **Standing plans-** are plans that provide an ongoing guidance for performing recurring activates.
- ❖ It is formulated to be used again and again.
- ❖ Standing plans allow managers to save time.
- ❖ Standing plans become valuable under relatively stable situations.

E.g. a bank can more easily approve or reject loan requests if criteria are established in advance to evaluate credit ratings, collateral assets, and related applicant information.

Cont'd...

TYPES OF STANDING PLAN

A. Policies

B. Procedures

C. Rules

Policies

- ❖ It is a general guidelines for decision making.
- ❖ It provides boundaries or limits within which decisions are made.
- ❖ Policies help to decide issues before they become problems

Example : Hiring qualified employee

Cont'd.....

B. Procedure

- ❖ Procedures are statements that specify the exact manner in which certain activities must be accomplished.
- ❖ It provides a detailed step by step instruction as to what should be done.
- ❖ Are chronological sequences of required actions
- ❖ Procedure is narrower in scope than policies.

Example,

1. Procedure for withdraw money from bank.
2. University admission.
3. Purchasing procedure in an organization

Cont'd.....

C. Rule

- ❖ Rules specify actions that must be taken or must not be taken with respect to a situation.
- ❖ Rules allow no discretion or judgment.
- ❖ Rules are the most explicitly stated (clearly stated) of standing plans
- ❖ Rules are ongoing, specific plan for controlling human behavior and conduct at work

Example-No smoking

Similarities of policy, procedure and Rule

- ❖ They are directives to guide people's behavior to the desired end.
- ❖ All are plans to be followed in the future.

DIFFERENCES OF POLICY, PROCEDURE, AND RULE

- ❖ Policy is guide to thinking.
- ❖ Procedures and rules are guides to action.
- ❖ Policy render freedom to make a judgment.
- ❖ Rules and procedures render no freedom.
- ❖ Rules guide action without specifying a time sequence.
- ❖ Procedures specify a time sequence.
- ❖ Although procedures may incorporate rules, all rules may not be incorporated in procedures.

3. Scope/breadth dimension

- ❖ Scope refers to comprehensiveness (detail) of the plan.
- ❖ Based on scope plans divided in to three

A. Strategic planning

- ❖ It is a process of developing organizational objectives.
- ❖ Mostly strategic plans are long range.
- ❖ It is expressed in relatively general terms.
- ❖ It is top level managers responsibility.

B. Tactical plan

- ❖ Tactical plans support implementation of strategic plan and achievement of strategic goals.
- ❖ Tactical plans have shorter time frame and narrower in scope.
- ❖ Middle level managers are responsible to develop tactical plans.

Cont'd.....

C. Operational Plan

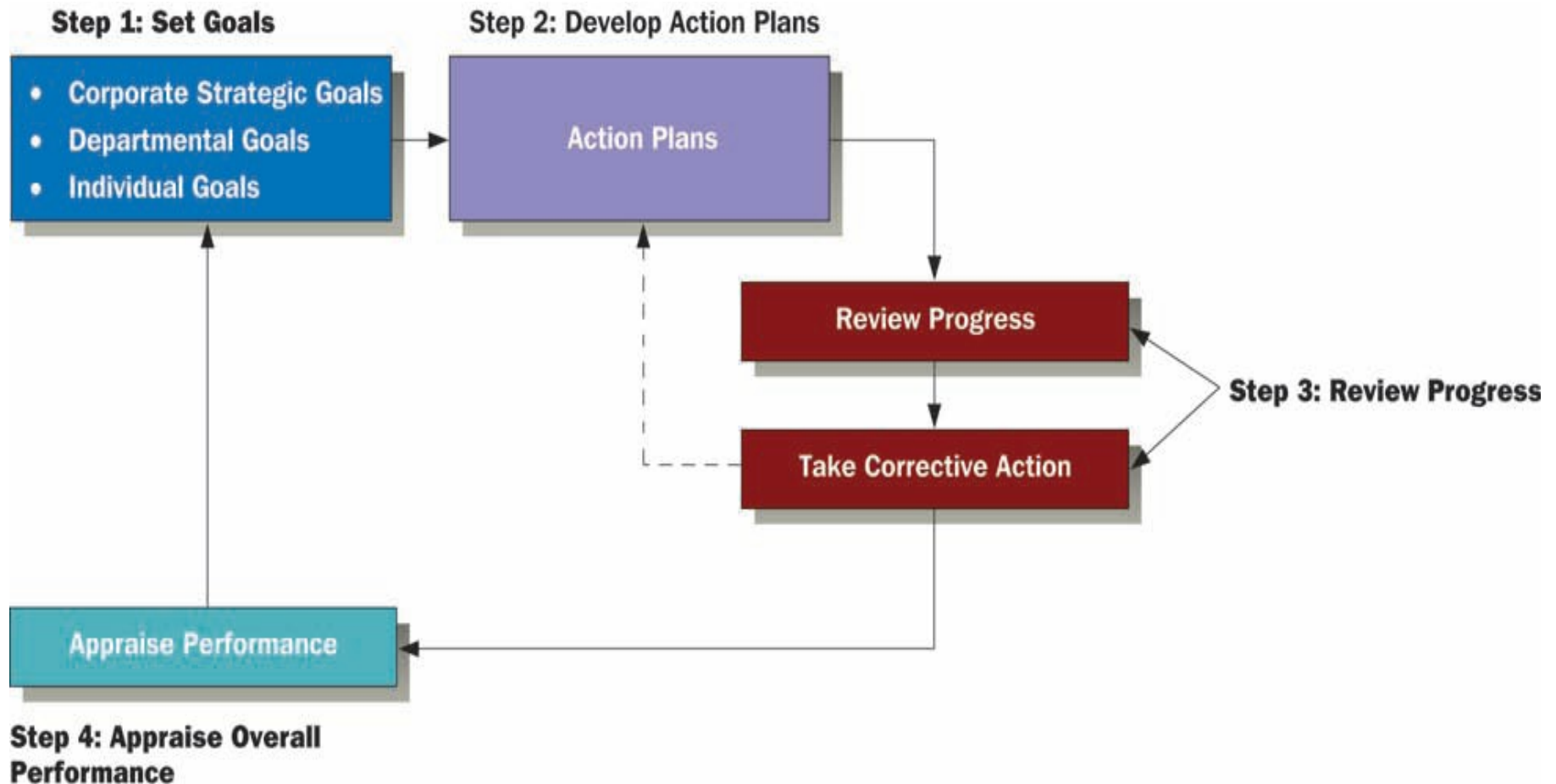
- ❖ Concerned with the day to day operation of the organization.
- ❖ Made by lower level managers.
- ❖ It is detailed plan.
- ❖ Have short time frame.

Characteristics of Good Plan

- ❖ Objectivity
- ❖ Futurity
- ❖ Flexibility
- ❖ Stability
- ❖ Comprehensiveness
- ❖ Clarity and simplicity
- ❑ Contingency planning/ alternative plan

Management by Objectives (MBO)

- Method whereby *managers* and *employees* define goals
- Four *major activities* must occur in order for MBO to be successful



Cont'd.....

Benefits of MBO	Problems with MBO
1. Manager and employee efforts are focused on activities that will lead to goal attainment. 2. Performance can be improved at all company levels. 3. Employees are motivated. 4. Departmental and individual goals are aligned with company goals.	1. Constant change prevents MBO from taking hold. 2. An environment of poor employer-employee relations reduces MBO effectiveness. 3. Strategic goals may be displaced by operational goals. 4. Mechanistic organizations and values that discourage participation can harm the MBO process. 5. Too much paperwork saps MBO energy.

3.5 Managerial decision making

Meaning

- Organizational responses to problems
- Decision making is a *rational choice or selection of one alternative* form among a set of alternatives.
- Part of every aspect of the manager's duties.
- The *critical* decision-making is during planning.

Features of decision making:

- There should be available alternatives.
- involves the evaluation of available alternatives
- is aimed at achieving certain goals.

Decision making process

- Decision making consists of the following five-steps
 1. Identifying the problem
 2. Develop alternatives
 3. Evaluate the alternatives
 4. Select the best alternative
 5. Implementing and monitoring the chosen solution

1. Identifying the problem

❖ Problems are prerequisites for decision.

❖ *Indicators of problems*

- Deviations from past performance

- Deviation from plan

- Outside criticism

❖ Two major types of problems:

- Crisis problem*: requiring immediate action.

 - e.g. customer protest against quality of product

- Non-crisis problem*: requires a solution but not immediate.

 - e.g.. Employee who frequently lat for work .

Cont'd....

Stages in problem identification

- ❖ *Scanning stage*- monitoring the environmental change.
- ❖ *Categorization stage*- classifying the situation as a problem and no problem.
- ❖ *Diagnosis stage*- specifying both the nature and the causes of the problem.

2. Developing alternatives

- ❖ List as many alternative solutions to the problem as you can.

3. EVALUATING ALTERNATIVE

- ❖ Analyze the advantage and disadvantage of each alternative.

4. CHOOSING AN ALTERNATIVE

- ❖ Choosing the alternative with few disadvantage and more advantage.

5. Implementing and monitoring the chosen solution

- ❖ Implementing is putting the selected solution in to action.
- ❖ Monitoring is necessary to ensure the problem is solved.

Decision making conditions

- ❖ Based on the information the decision makers have there are three decision making conditions.

1. Decision making under certainty

- ❖ In this case the decision maker has complete knowledge, (perfect information) of consequences of every decision choice (alternative).
- ❖ The probability of making poor decision is very low.

2. Decision making under risk

- ❖ The decision maker has less than complete knowledge.
- ❖ The decision maker is in the dilemma of choosing the best alternative solution.
- ❖ There is a probability of making poor decision.

3. Decision making under uncertainty

- ❖ The decision maker has no information about the outcome of each course of actions
- ❖ High chance of making poor decision

Types of decisions

1. Programmed and non programmed decisions

Programmed decisions: They are made in routine, repetitive, and well structured situations through the use of predetermined decision rules, procedure, and policies.

- ❖ Most of the time done by first line managers.
- ❖ E.g. determination of employee pay rates

Non programmed decisions

- ❖ To solve non routine and novel (strange or new problems).
- ❖ No well established procedures exist for handling them
- ❖ Non programmed decisions are mostly made by top level managers.

Example- introducing new product

Cont'd....

2. Strategic and routine decisions

Strategic decisions

- ❖ Policy matters and non-repetitive in nature.
- ❖ They have a fundamental effect on the organization
- ❖ Taken by top management.
- ❖ For example, adoption of new technology, launching of a new product.

Routine Decisions

- ❖ Are concerned with routine matters arising out of the functioning of the organization.
- ❖ Taken on the basis of established guidelines, procedures and rules.
- ❖ Taken by the lower level managers.

3. Policy and Operative Decisions

Policy Decisions: are taken by the top management

- ❖ These decisions affect the functioning of the entire organization.

Operative Decisions : Day-to-day operation of the business.

- ❖ Taken generally by lower level
- ❖ Taken on the basis of predetermined rules and regulations for such decisions.

4. Organizational and Personal Decisions

Organizational decision: Is When an individual, who has official authority, takes any *decision because of formal authority*.

- ❖ Such decisions affect the organizational functions directly.

Personal decisions: when a manager, as an individual, can take decisions about himself

- ❖ *These normally affect the personal life of an individual.*
- ❖ Example. When a manager makes any decision about his child education

Cont'd...

5. Individual and group decision

Individual decisions

- ❖ When a decision is taken by an individual in the organization
- ❖ by all managers from top executives to the first line

Group or collective decisions

- ❖ Generally, group decisions are those taken by a group of persons in an organization

Example.

1. a committee

2. *Board of directors* makes decisions.'

Reasons for poor decision

- The causes of poor decision are:
 - Lack of adequate time.
 - Failure to define goals clearly.
 - Using unreliable source of information.
 - Fear of consequence.
 - Focus on symptoms rather than causes.
 - Reliance on hunch and intuition

END OF CHAPTER THREE

Chapter Four

Organizing and Staffing functions

Meaning of Organizing

- ❖ It is a process of arranging *human* and *non-human* (physical resources) to attain objectives .
- ❖ Establish r/s b/n *activity* and *authority*
- ❖ The organizing process leads to the creation of organization structure, which defines how tasks are divided and resources deployed.
- ❖ The end results of organizing process is *organization*
- ❖ ***Organization*** is a group of people who are joined together to achieve common goal.

Process of organizing

The organizing process has the following steps:

1. Reviewing of objectives to be accomplished
2. Identifications of activities needed to accomplish objectives
(division of labour)
3. Grouping of activities *(Departmentation)*
4. Assigning group of activities and delegate authority
5. Design a hierarchy of relationship
 - *Vertical and horizontal relationship*

Importance of organizing

- Promotes **collaboration** and **coordination**.
- Sets clear-cut lines of **authority** and **responsibility** for each individual and department
- Improves the **directing** and **controlling** functions of managers.
- Develops **maximum use** of time, human, and material **resources**.
- Coordinate the effort of managers and employees

Types of organizations

- ❖ Two types of organizations

 - ❖ Formal

 - ❖ Informal

1. Formal organization

- ❖ Is the official organizational structure **created by management**

- ❖ formed purpose fully to achieve well defined and formal **objectives**

- ❖ **Intentional, deliberately** and **formally** organized organization

Continued....

- ❖ Characteristics of Formal organization
 - ❖ It is **properly planned** It is **deliberately** impersonal
 - ❖ It is based on **well defined authority**, delegating authority
 - ❖ Represented by **organizational charts**
 - ❖ **Unity of command** is normally maintained
 - ❖ The **responsibility and accountability** at all levels of organization is clearly defined.

2. Informal organization

- ❖ A network of **personal** and **social relationship** that arise spontaneously as people associate with one another in working environment
- ❖ It operates **outside of formal** authority relationship
- ❖ It is an **unofficial network** of personal and social relations developed as a result of association or working together

Continued....

Characteristics of informal organization

- ❖ arises **voluntarily**.
- ❖ It is a social structure formed to meet **personal needs**.
- ❖ has **no place** in the organization chart
- ❖ can be found on **all levels of organization**
- ❖ The **rules and traditions are not written** but are commonly followed.
- ❖ Develops from **habits, conduct, and behavior** of social groups.
- ❖ The goal of Informal organization are **unspecified**
- ❖ **Sociogram** and an **Interaction Chart** can be used to identify its presence

Types of informal Groups

Horizontal Groups

- ❖ Include persons whose **positions are on the same level** of the organization i.e. they are groups that are formed by peers.
- ❖ The groups can consist of all the members in the same work areas or membership developed across departmental lines

Vertical Groups

- ❖ Include people on **different levels** of the formal organization's hierarchy.
- ❖ These people always come together within the same department (work areas).
- ❖ A vertical group can consist of a supervisor and one or more of his/her employees

Mixed Group

- ❖ It is a combination of two or more persons whose **positions are on different levels** of the formal organization and in different work areas

The impact of informal group

The Negative Impacts

- ❖ Resistance to change
- ❖ Conflict (**two masters for an employee**)
- ❖ Rumor

The Positive Impacts

- ❖ Makes the total system effective
- ❖ Provides support to management
- ❖ Provides a useful communication channel
- ❖ Provides stability in the work environment

Major elements of organizing function

1. *Division of labor*

- ❖ Division of labor refers to the process of **dividing the total task of a unit to successively smaller jobs**.
- ❖ In short, division of labor involves:
 - Breaking down a task into its most basic elements
 - Training workers in performing specific duties
 - Sequencing activities

Advantage

- ❖ Efficiency and productivity increases
- ❖ Decreased transfer time

Disadvantage

- ❖ Specialization would result in workers' have **limited knowledge**
- ❖ **Boredom and fatigue** caused by monotonous, repetitive tasks
- ❖ **Barrier** for communication

2. Departmentalization

- ❖ Departmentalization is a means of **dividing the large and complex organization into smaller administrative unit.**
- ❖ This **process** of grouping specialized activities in a logical manner is called **Departmentation**.
 - ❖ is grouping of **related activities** in to **units**
- ❖ Department is a distinct area **division** or **branch** of an organization over which a manager has authority for the performance of specified activities.
- ❖ The five common ways of **departmentalization** are functional, territorial, product, service and customer.

Continued...

1. Functional Departmentalization

- ❖ Groups together those jobs involving the same or **similar activities, expertise and skills**.
- ❖ Jobs that call for certain **similar skills** or the use of similar **working methods** will be put together
- ❖ The **most common** base for Departmentation



Cont'd..

Advantage

- ❖ It simplifies **training**
- ❖ Promotes **specialization** and operational **efficiency**

Disadvantage

- ❖ Reduce **coordination** and **communication** between (among) functions
- ❖ **De-emphasis** of overall company objectives

Cont'd..

2. Product Departmentalization

- ❖ involves organizing **departments** around **products or services**
- ❖ Companies with **multiple products** commonly use product departmentalization

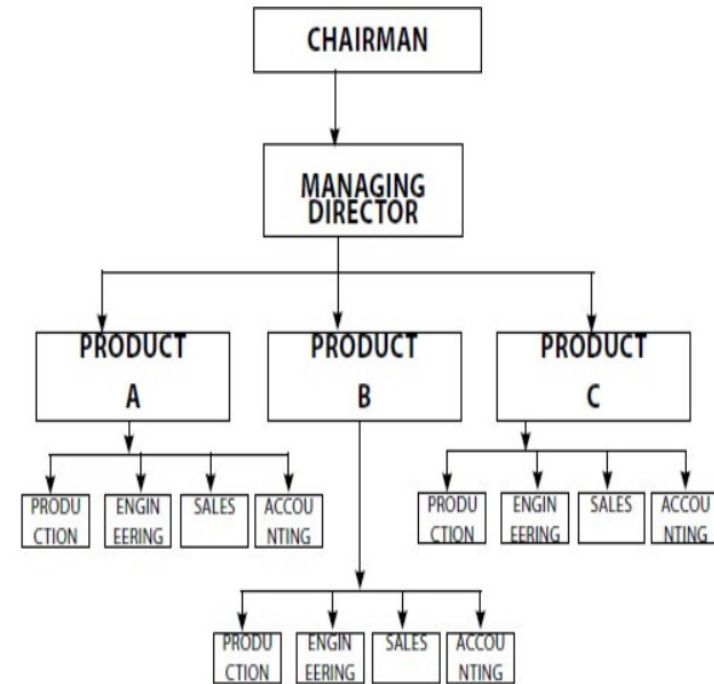
e.g. Electronics products , Textile products

Advantage

- All activities associated with one product can **easily be integrated.**

Disadvantages

- **Duplication** of business functions within each product line.
- Requires more persons with **general manager abilities**



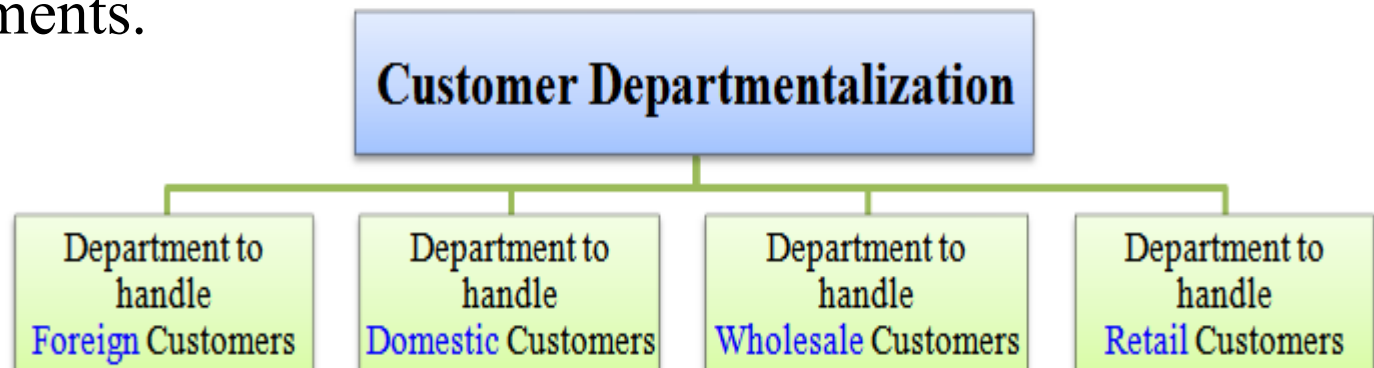
- ❖ Involves **organizing departments around** needs of different types of **customers**
- ❖ The organization structure its activities to **respond to and interact with specific customers** or customer groups.
 - ❖ e.g. clinics and Hospitals

Advantage

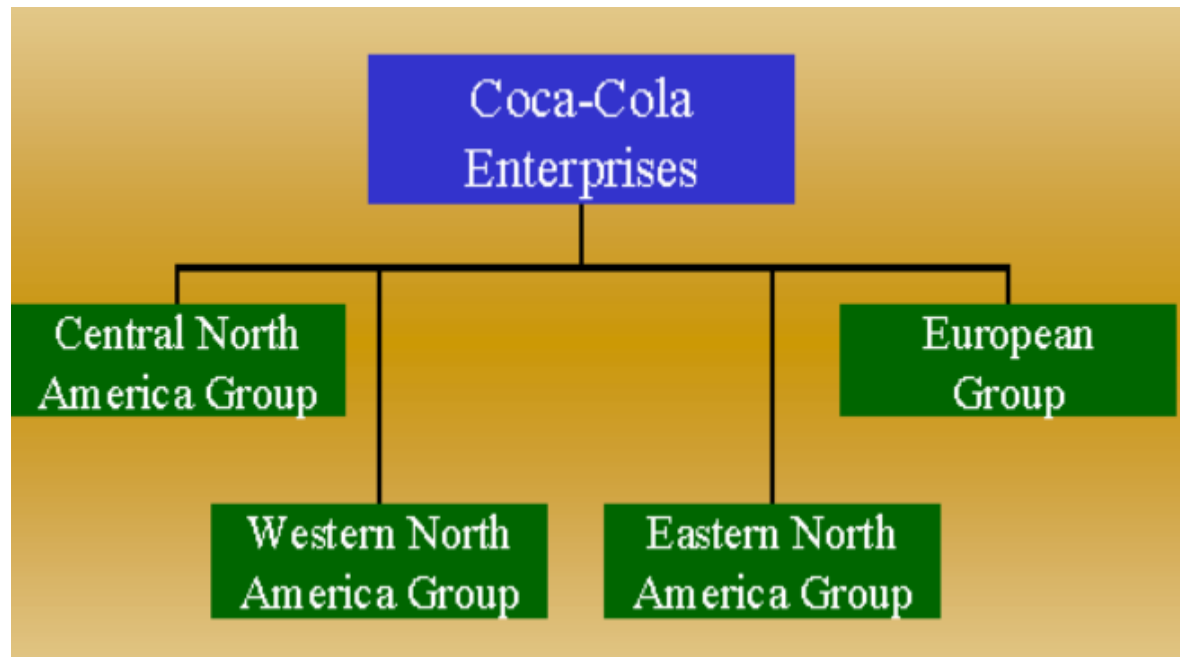
- ❖ Give attention for **unique customers or customer groups needs**.

Disadvantage

- ❖ Requires **large administrative staff** to integrate the activities of the various departments.



- ❖ Groups activities on the **basis of geographic region** or territory.
- ❖ All activities in a **geographic area** are assigned to a **particular manager**
- ❖ Is common in **enterprises** that operate **over wide geographic areas**
- ❖ it is attractive to **large-scale firms** or other enterprises whose activities are physically or geographically dispersed



Cont'd..

Advantage

- Places **emphasis on local** markets and problems
- Encourages **decentralized** decision-making

Disadvantage

- Larger **administrative staff** may be required.
- **Duplicates** staffs, services, or effort
- Increases **problem of top** management control

- ❖ grouping **activities around a process** or type of **equipment**
- ❖ This is when *special skill is needed* to operate different machines

Advantages

- ❖ Achieves economic advantage
- ❖ Uses specialized technology
- ❖ Simplifies training

Disadvantages

- ❖ Coordination of departments is difficult
- ❖ Responsibility for profit is at the top
- ❖ Is unsuitable for developing general managers



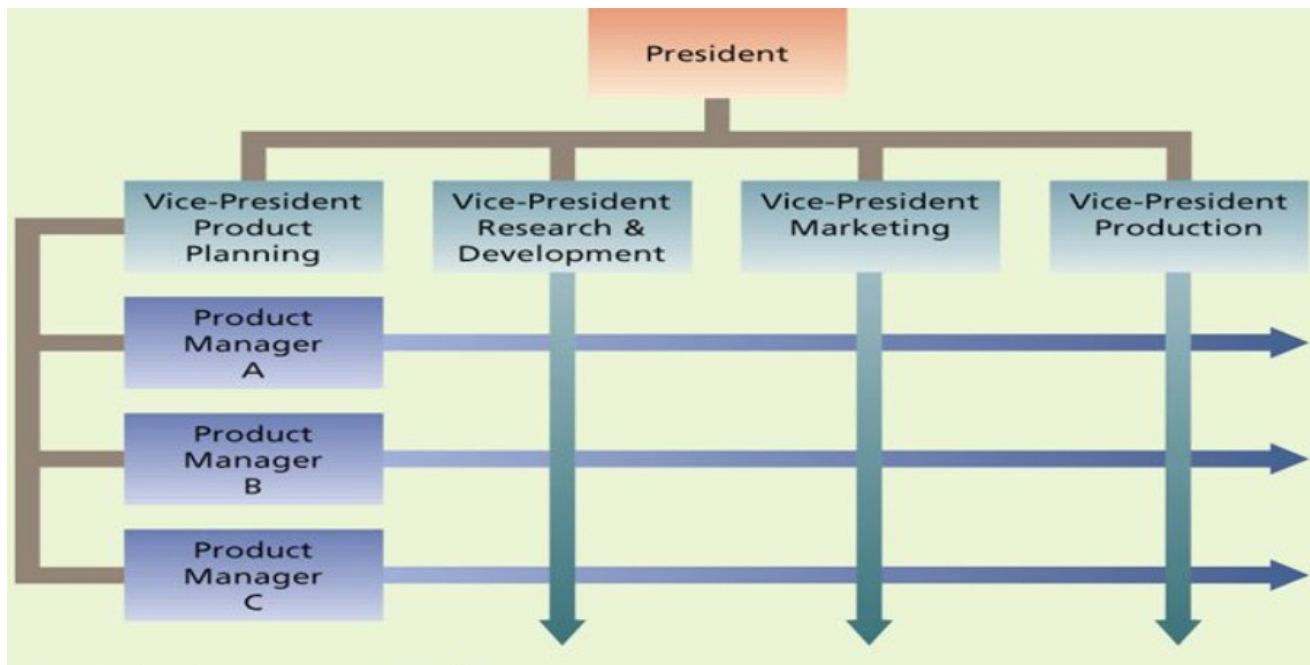
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6. Matrix Departmentation

- ❖ Is departmentalization that combines the *functional* and *product* structures

7. Combined Base Departmentation

- ❖ It is a base in which **multiple bases** are used in a particular organization



3. Delegation of authority

Authority

- ❖ It is the **formal and legitimate right** of a manager to make **decision**, issue **order**, and **allocate resources** to achieve organizational desired outcome.
- ❖ level of authority **varies** with levels of management

Delegation of Authority

- ❖ It is the **downward pushing** of authority from superiors to subordinates to make decision within their area of responsibilities.
- ❖ use to transfer authority and responsibility to positions below them.



Process of delegation

Delegation of authority has the following steps:

- ❖ *Assignment of tasks*
- ❖ *Delegation of authority*
- ❖ *Acceptance of responsibility*
- ❖ *Creation of accountability*

Importance of Delegation

- ❖ *It **relieves** the manager from his/her heavy workload*
- ❖ *It leads to **better decisions***
- ❖ *It **speedup** decision-making*
- ❖ *It helps subordinates to train and **builds moral***
- ❖ *It helps to create the organization structure*

Centralization and decentralization

Centralization-is the extent to which **power and authority** are systematically **retained by top managers**.

If an organization is centralized

- ❖ Decision-making power remains at the top
- ❖ The participation of lower-level managers in decision-making is very low

Decentralization- is the extent to which **power and authority** are systematically **dispersed/delegated** throughout the organization to *middle* and *lower* level managers.

When decentralization is greater:

- ❖ The greater is the number of **decisions made at lower** level of the organization.
- ❖ The **less a subordinate has to refer** to his/her manager prior to a decision.

Factors determining delegation

- ❖ The history and culture of the organization
- ❖ The nature of the decision
- ❖ Availability and ability of managers
- ❖ Management philosophy
- ❖ Size and character of the organization
- ❖ Geographic dispersion of operations
- ❖ Environmental uncertainty

Problems in effective delegation

Reluctance to Accept Delegation/problems from subordinates

- ❖ *Fear of failure and criticism*
- ❖ *Subordinate may believe that the delegation increases the risk of making mistakes but doesn't provide adequate rewards*
- ❖ *Lack of adequate information and resources*
- ❖ *Lack of self-confidence*
- ❖ *Believing / Thinking that decision-making is the boss's job*

Reluctance to delegate/Problems from Managers

- ❖ Fear of loss of power.
- ❖ “I can do it better myself”
- ❖ Managers may not have confidence on the subordinates.
- ❖ Fear of being exposed-fearing the subordinates will do better than the managers themselves.

5. Authority Relations in Organization

- ❖ Authority is the **legitimate right to make decision**, give **orders**, and allocate **resources**, is the right to command.
- ❖ There are three types of authority

1. line authority

- ❖ It is an exercise of direct **command over the subordinate**.
- ❖ defines the relationship between **superior and subordinates**
- ❖ Line authority is **represented by the standard chain of command** that starts from top to lower level in the hierarchy

Cont'd...

2. Staff authority: - is **advisory** in nature

- ❖ It is the authority to give **advise** , **assistance** and **help**.
- ❖ Have **no direct supervisory control** over subordinates.

e.g. R&D advisor. Legal advisor

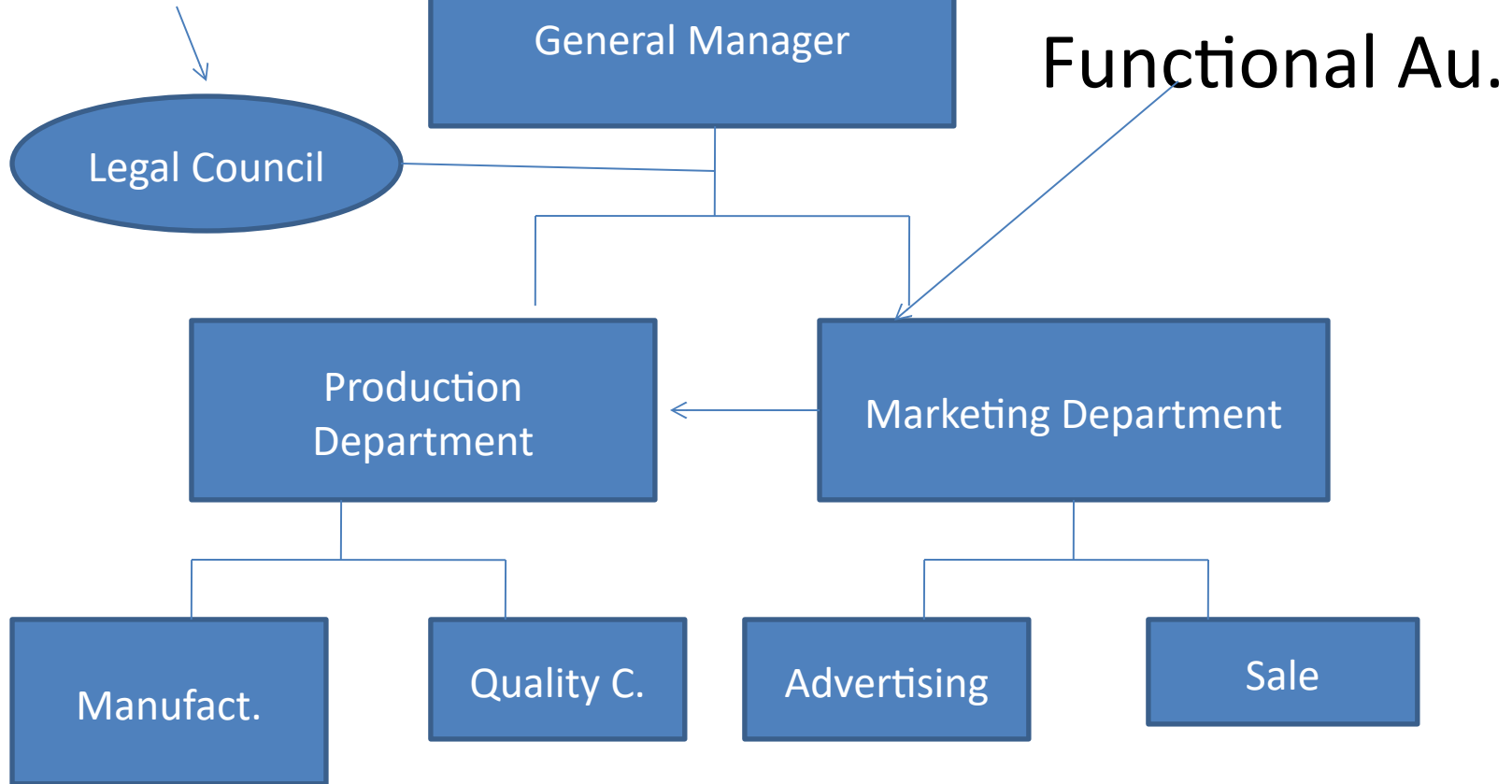
3. Functional authority

- ❖ It is the right given to an individual or a **department to control specified process or practices undertaken by persons in other departments.**

E.g. The finance manager can give command to the marketing manager.

Cont'd.....

Staff authority



Cont'd...

Reasons of conflict b/n staff and line managers.

- ❖ Demographic factors
- ❖ Threats to Authority
- ❖ Dependence on knowledge
- ❖ Staff managers may exceed their authority and attempt to *give direct command* to the line managers

What are the solutions for the above problems?

- ❖ Understanding authority relationship
 - Line Authority- making decision
 - Staff Authority- assist and counsel
- ❖ Making line listen to staff
- ❖ The information of staff managers should be complete.
- ❖ Clear areas of responsibility and accountability for results
- ❖ Keeping the staff informed

6. Span of management/ span of control

❖ Span of management refers to the **number of subordinates who report directly to a manager.**

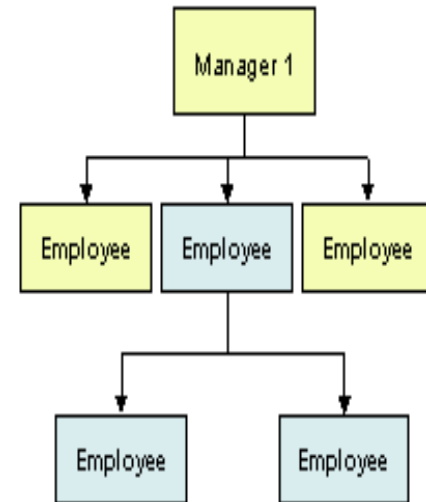
❖ It can be – Wide
 – Narrow

1. **Narrow span of management-**
superior controls **fewer number**
of subordinates.

Characteristics

- **Tall** organizational structure
- **More communication** between superiors and subordinates.
- **Centralized** authority
- Their **subordinates** are **over controlled**

Example of a Narrow Span of Control



Each employee holding a position of authority is responsible for at least two others – i.e. the span of control is at least 2

Cont'd...

Advantage

- ❖ Easy communication between subordinates and superiors.
- ❖ Easy to coordinate and to control activities.

Disadvantage

- ❖ Superiors too much involved in the subordinates activity.
- ❖ Excessive distance between top and lower level managers.
- ❖ High cost due to many levels.

Cont'd.....

2. Wide Span

Characteristics

- ❖ Many subordinates report to a superior.
- ❖ Flat organization with fewer managerial levels.
- ❖ Decentralized authority.

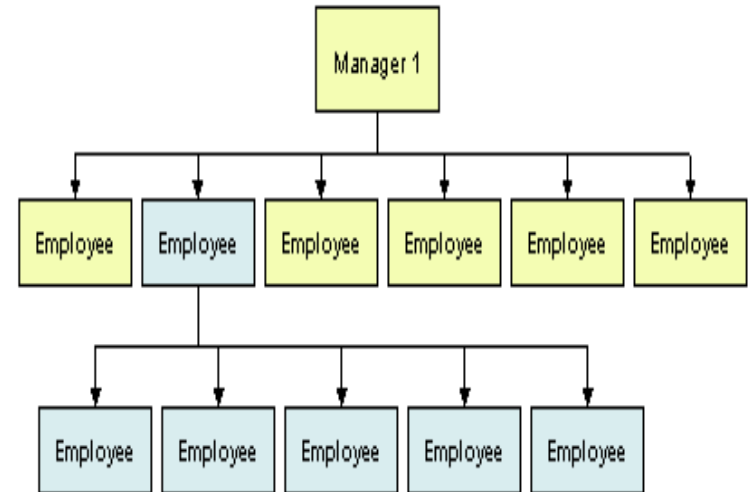
Advantage

- ❖ Superiors delegate authority.

Disadvantage

- ❖ Danger of superiors loss of control

Example of a Wide Span of Control



Each employee holding a position of authority is responsible for at least five others – i.e. the span of control is at least 5

Cont'd....

Centralization  Narrower span  more levels of management

Factors Determining Span of Management

- ❖ **Ability** of the manager
- ❖ **Subordinates** *motivation, commitment, and ability*
- ❖ The type of the **subordinates work**
- ❖ Managers personality(**need to share power**)
- ❖ Economic factor

7. Organizational structure

- ❖ Organizational structure: is the **arrangement of people and tasks** to accomplish organizational goals.
- ❖ One aid to **visualize organization** structure is the **organization chart**.
- ❖ **Organizational chart**: It is a **line diagram** that depicts the broad outlines of an organization's structure.

Cont'd...

The organization chart can tell us:

1. Who reports to whom (chain of command)
2. The number of managerial levels
3. The span of control.
4. Channel of official communication
5. How the organization is structured by function, territory,...
6. The work being done in each job
7. The hierarchy of decision-making
8. Type of authority relationships line authority, staff authority, and functional authority.

Staffing

The staffing function follows the function of planning and organizing.

- ❖ It is **filling and keeping field positions** in the organizational structure through the right man power
- ❖ It is the executive function of **recruiting, selecting, training, developing, and promoting** subordinates.

Continued...

- ❖ **Manpower planning-** process of forecasting the number and type of personnel.
- ❖ **Recruitment-** process of searching for prospective employees.
- ❖ **Selection-** involves screening or evaluation of applicants.
- ❖ **Orientation-** is a socializing process by which new employee is provided with information about work environment and operating realities
- ❖ **Training:** It is the process of increasing the knowledge and skills of an employee for doing a particular job
- ❖ **Development:** It refers to the growth of an individual in all respects - physically, intellectually, and socially

END OF CHAPTER FOUR

Chapter Five: The directing/leading function

- ❖ Leadership is the process of influencing a group or individual to set a goal or achieve a goal.
- ❖ It is a process involving the leader, the led (group or individual), and a practical goal or a situation.
- ❖ Have three elements
 - Leader
 - Follower
 - Environment
- ❖ Leading is the management function aimed at setting the members of an organization move in the direction that will achieve its objectives

Leadership versus Management

- Leadership focuses almost exclusively on the ‘people’ aspects of getting a job done -inspiring, motivating, directing, and gaining commitment to organizational activities and goal
- Management is a broad subject that encompasses activities such as planning, organizing, staffing, directing, and controlling
- Management a process of Setting objectives , Creating internal efficiency, Managing activities and controlling it
- The term leader will be used for a person who practices leadership, while the term manager will be used for a person who practices management
- Leaders use people as a starting point and do the right thing, while managers, who want to do the right things, use structures and systems as their starting point

Importance of the directing function

- Directing initiate actions by giving directives and guidance to employees.
- Directing integrates employees' effort by coordinating actions of the members and leading toward the objectives.
- Directing attempts to get the maximum output of individuals by providing ways to fully utilize the potentials and capabilities of employees.
- Directing provides stability so that it exists for a long period and its parts work in a harmonious ways

Sources of power

- Why do people accept the influence of a leader? One major reason is that leaders have **power**.

❖ **Power** is the capacity to affect the behavior of others

There are five major sources of power

1. **Legitimate power**- derived from persons official position.
2. **Reward power**- derived from persons ability to give reward and different kinds of benefits.
3. **Coercive power**- derived from persons ability to punish.
4. **Expert power**- that a leader possesses as a result of his or her knowledge and expertise regarding the tasks to be performed by subordinates
5. **Referent power/ charismatic power**- derived from being

Authority versus power

Authority

- Positional
- Narrower
- Change with the position
- Authority is delegated to an individual

Power

- Personal
- Broader
- Some power change with position (legitimate, reward, coercive) some don't change (expert, referent)
- Some power can't be delegated (Expert, referent)

1. Trait Theory

Leadership Theories

- ❖ Traits are distinctive internal or personal qualities or characteristics of an individual, it can be
 - **Physical:** like height, weight, appearance etc
 - **Personal:** like self-confidence, dominance, sociability
 - **Mental:** like intelligence, creativity, knowledge, technical competence
- ❖ Originated from “great man theory” (Leader are born not made)
- ❖ That is good leaders are born naturally, not made
- ❖ To sum up **this theory** states that effective leader should have the above traits like taller, good appearance, more self confident, creative and intelligence

- ❖ Studies behaviors that made leaders effective.
- ❖ States that leaders have no distinguishing traits.
- ❖ It includes two studies

A. University of Michigan Studies

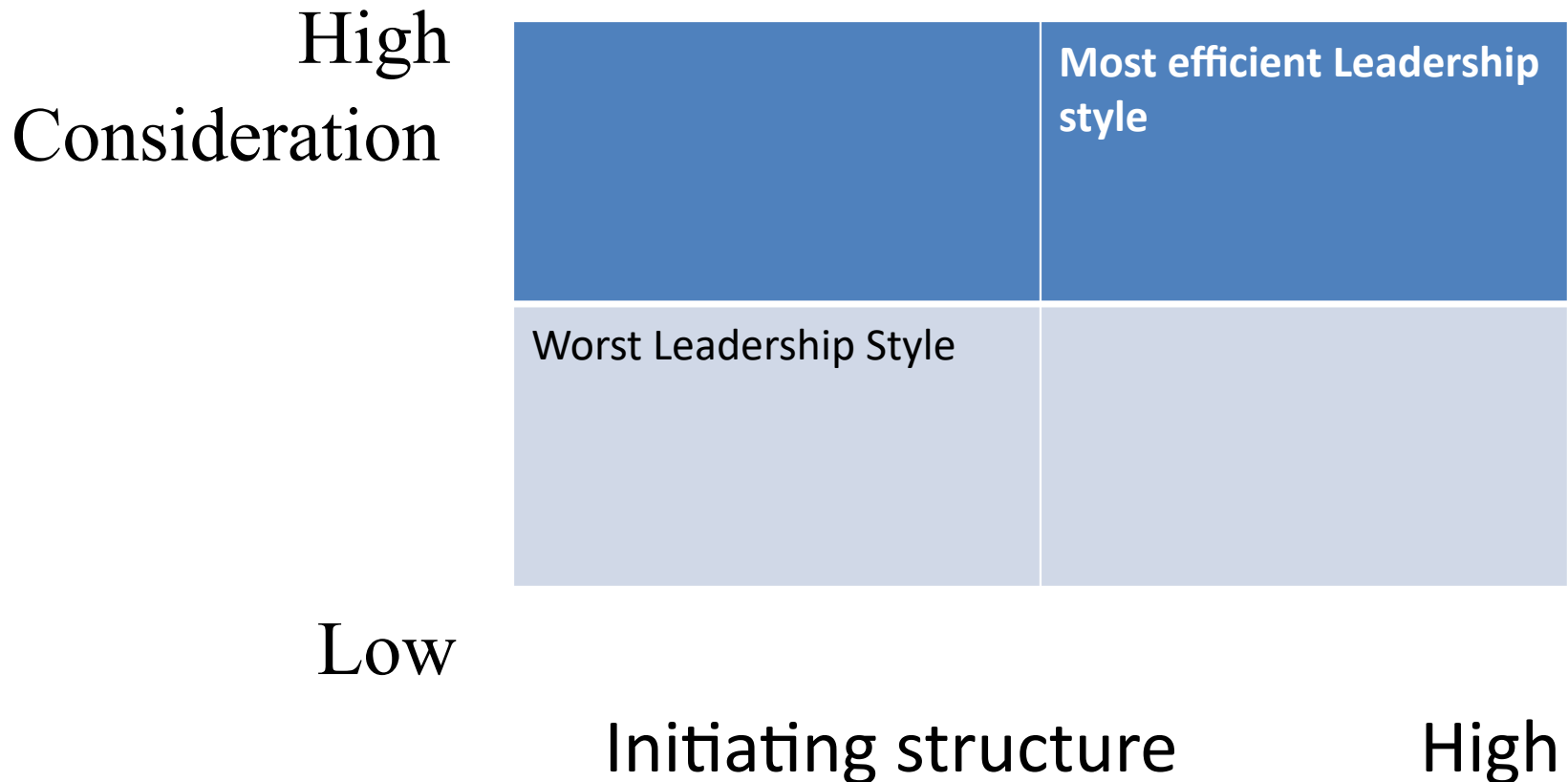
- ❖ In this study it is concluded that there are two types of leadership styles.
 - Job centered (production) - interested on performance of work.
 - Employee centered- interested in welfare of the subordinate.

B. Ohio State Studies

- ❖ The Ohio State study identified two leadership styles:
 - considerate*
 - initiating* structure

CONT'D....

- ❖ **Initiating structure behavior**- focus on task
 - The primary objective is achieving goal
 - One way communication
- ❖ **Consideration**- the ability of the leader to respect the subordinates idea and two way communication.



Cont'd.....

3. Contingency/ Situational Leadership Theories

- ❖ It states that the effectiveness of a particular style of leader behavior depends on the situation.
- ❖ Leadership is the result of:
 - leader
 - follower
 - situations

Cont'd....

4. Theory X and Y assumptions (Douglas MC Gregor)

	Theory X	Theory Y
The manager assumes	-Most people hate work -Most are lazy -People avoid work if possible	-People like work -People don't avoid work -creative
Need for direction	- People should directed and closely controlled	- People are self directed
Motivation	negative motivation	- Gives rewards

- ❖ Three types of leadership based on the *degree to which managers share decision making* authority with subordinates, motivation and area of emphasis.

1. Autocratic Leadership style

- ❖ Leaders are dogmatic
- ❖ manager does not share decision-making authority
- ❖ Managers tend to be heavily work – centred,
- ❖ placing most of their emphasis on task accomplishment little on the human elements.
- ❖ Managers' emphasis on close control
- ❖ Managers' willingness to delegate a very little decision-making authority.
- ❖ No flow of information from subordinates

Cont'd....

2. Democratic Leadership style

- ❖ Leaders shares decision making authority with subordinates.
- ❖ Leaders have high concern for both people and work
- ❖ Leaders are not much sensitive about their authority
- ❖ participate employees in decision making
- ❖ Leaders Appreciate suggestions from subordinates
- ❖ There is active two way communication
- ❖ Leaders Motivate subordinates with rewards
- ❖ Democratic leaders uses theory y assumptions

Cont'd....

3. Laissez-faire (free-rein style)

- ❖ It is leadership approach in which a manager develops a frame work for subordinates in which they can act and leave decision making authority to the subordinates and remain for consultation.
- ❖ Leaders give complete freedom for subordinates
- ❖ This type of leadership is mostly applied in organizations with highly skilled and well-trained professional.
- ❖ There is horizontal communication

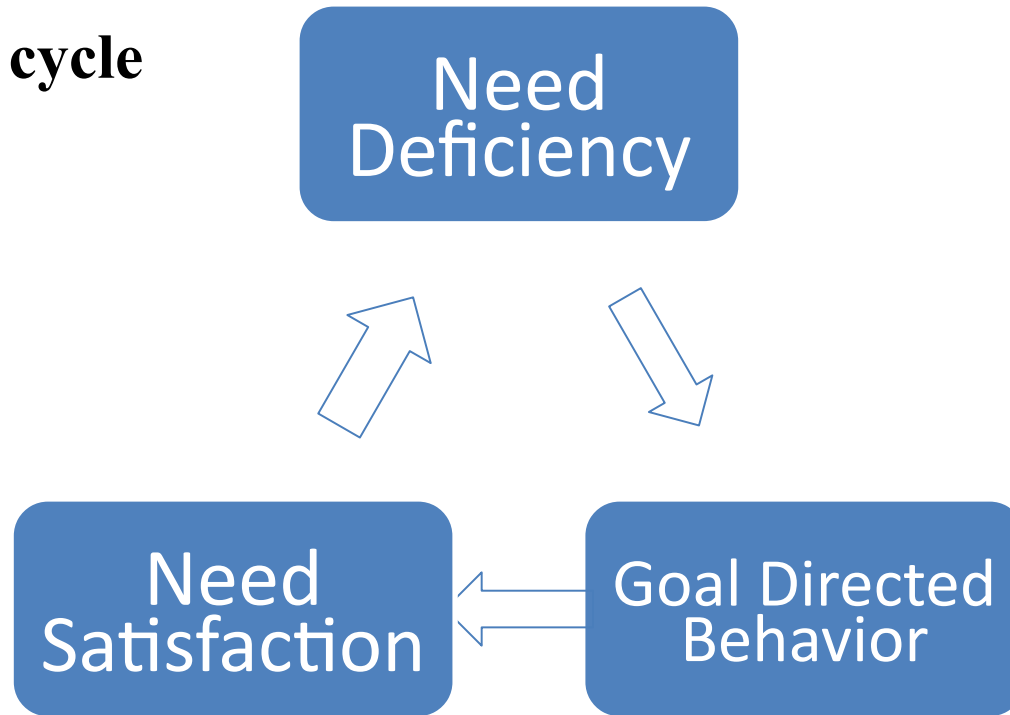
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4.Situational leadership style

- ❖ It is leadership approach in which managers utilize the combination of the above style depending on the situation in external environment.

Motivation

- ❖ Motivation- is an inner desire to satisfy an unsatisfied need.
- ❖ It is an internal force, energize behaviour which gives direction to behaviour.
- ❖ **Motivation cycle**



❖ How do you relate **motivation** and **satisfaction**?

- Motivation refers to the drive and effort to satisfy a want or a goal
- satisfaction is the outcome already experienced

Motivation

Satisfaction

❖ How do you relate **motivation** and **performance**?

performance = ability * motivation * environmental condition

- motivation is a necessary but insufficient contributor to job performance
- The above relationship between performance and motivation clearly shows us that:
- managers should hire individuals who have the ability to do what is required.
- Then providing environmental conditions that nurture and support individual motivation to work toward organizational goals.

Theories of motivation

1. Carrot and stick approach

- ❖ “give carrot for donkey to make go quick and bit with stick if it refuses to move fast having eaten the carrot”.
- ❖ In an organization, it means that pay adequate money to your employees to motivate them or to make them work; if they fail to perform fairly, punish them to work.

2. Money as a motivator

- ❖ Money can be used as a motivator in the following conditions.

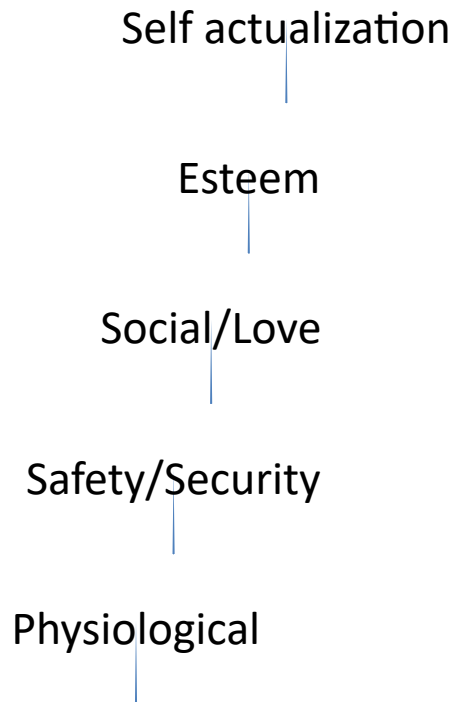
- _For people who are in low living Standard

- _If the amount of money is very significant

- _When the payment is differentiated for different levels of performance.

3.1. Maslow's Need Hierarchy

- ❖ Maslow proposed that motivation is the result of needs and a human need can be arranged in a hierarchy.
- ❖ According to Maslow human need form a five levels of hierarchy.



Cont'd...

❖ The hierarchy of needs is based on four premises:

1. Only an unsatisfied need can influence behavior; a satisfied need is not a motivator. What motivates a person is what s/he does not have but not what s/he has.
2. A person's needs are arranged in a priority order of importance. Thus, the priorities (hierarchy) go from the most basic needs to the most complex.
3. As the person's needs are met on one level, the person advances to the next level of needs. S/he will focus on the first level need until it is minimally satisfied before moving to the next level.
4. If satisfaction is not maintained, it will become a priority need again

Cont'd.....

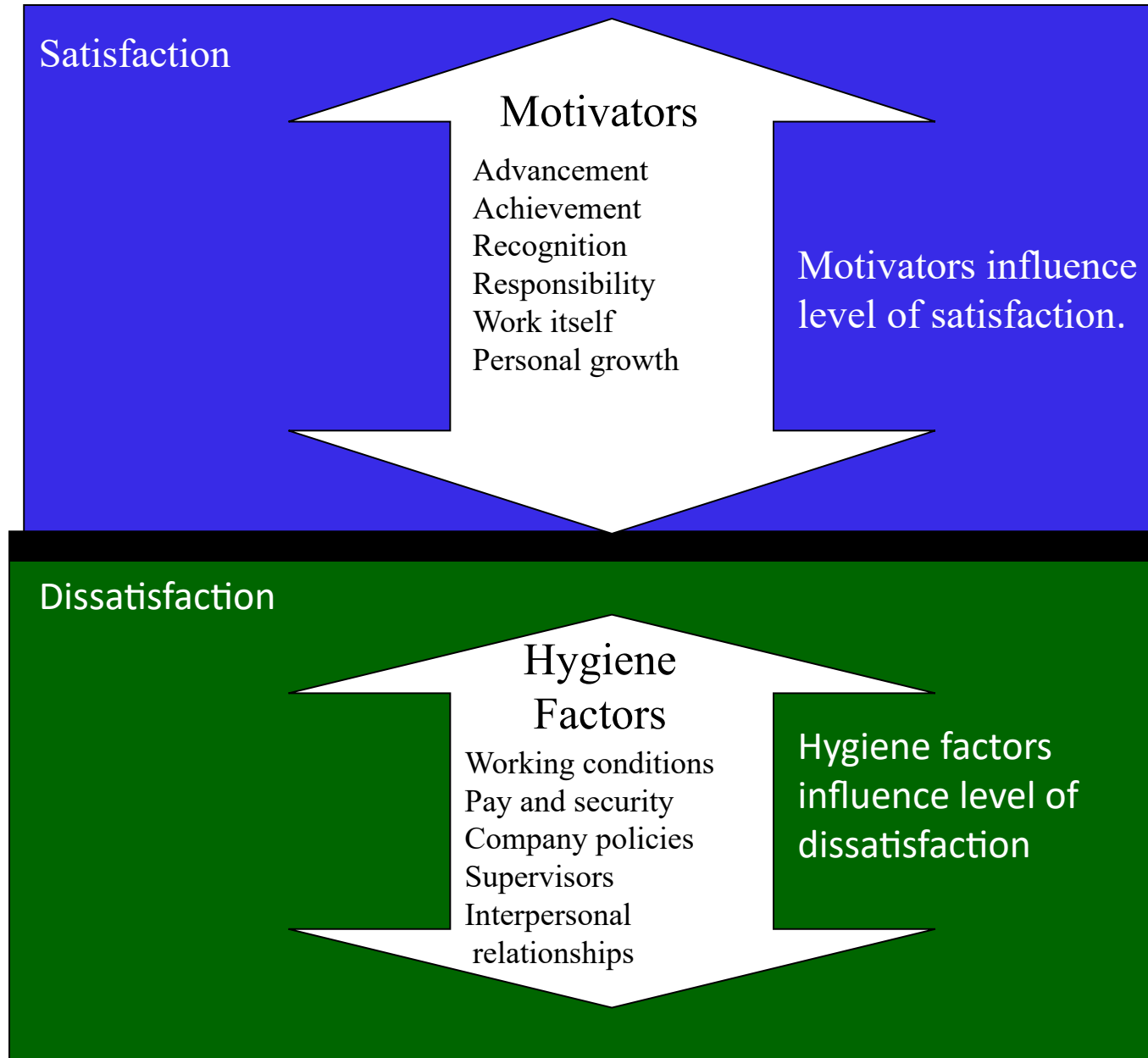
- ❖ physiological needs- includes basic needs such as need for food, cloth, shelter etc.
- ❖ Safety needs-include freedom from fear and anxiety, job security
- ❖ Social needs- are needs for friendship, affiliation, attraction etc.
- ❖ Esteem needs-are needs for self respect, recognitions etc.
- ❖ Self-actualization needs- need of accomplishing something.

4. Herzberg's two factor theory

There are two factors

1. **Motivator factors-** accounts for high level of motivation.
 - ❖ Includes factors like achievement, recognition, responsibility, work itself, personal growth
2. **Hygiene factors-** are factors that can cause dissatisfaction; even these hygiene factors are addressed people may not be motivated
 - ❖ Includes factors like salary, job security, working condition, company policies, quality of interpersonal relationship among peers, supervisors, subordinates, etc.

Two Factor Motivation Theory



Communication in organization

- ❖ Communication is the process of transmitting information among two or more people.
- ❖ Two types of communication
 1. **Formal Communication-** intentionally designed by the organization.
 - Information flows through the formally established channel
 - ❖ Formal communication includes; Downward communications, Upward communication, Horizontal communication, and Diagonal communication.
 1. **Downward Communication:**
 - Occurs when information is transmitted from higher to lower levels in an organization.
 - The major purposes are to provide organization members with information about organizational goals and policies.
 - E.g. communication include instructions, speeches, meetings

Cont'd..

2. *Upward communication*

- information flows from the subordinates to the superior
- The main function of upward communication is to supply information to the upper levels about what is happening at lower levels
- It includes the flow of opinions, ideas, complaints, progress reports, suggestions, explanations

3. *Horizontal communication*

- It involving peers who report to the same supervisor, or across work unit boundaries, involving individuals who report to different supervisors
- It is useful to coordinate activities
- Horizontal communication can take many forms, including meetings, reports, telephone conversations, and face-to-face discussions between individuals.

4. Diagonal communication

- involves the flow of information among departments or individuals on different levels of the hierarchy
- among line departments, in which one of them has functional authority

2. Informal Communication(Grapevine)

- It is a communication, which is not deliberately designed by the organization
- It is rather created by informal groups in order to satisfy their need to interact and share information among themselves
- Informal communication channel is commonly termed as grapevine because of its structure less direction of flow

END OF CHAPTER FIVE

Chapter six: the controlling function

- ❖ **Controlling** is the process in which management evaluates performance using predetermined standards and in light of the results makes a decision ,corrective action.
- ❖ Controlling is directly related to planning. The controlling process ensures that plans are being implemented properly.
- ❖ Controlling is important in order to confirm the degree to which organization is efficient in using its resources and to ensure the degree to which organization is successful in attaining its objectives.

Importance of controlling

The major purposes of controlling function.

- **Controls make plans effective:** Managers need to measure progress, offer feedback, and direct their teams if they want to succeed.
- **Controls make sure that organizational activities are consistent:** Policies and procedures help ensure that efforts are integrated.
- **Controls make organizations effective:** Organizations need controls in place if they want to achieve and accomplish their objectives.
- **Controls make organizations efficient:** Efficiency probably depends more on controls than any other management function.
- **Controls provide feedback on project status:** Not only do they measure progress, but controls also provide feedback to participants as well. Feedback influences behaviour and is an essential ingredient in the control process.
- **Controls aid in decision making:** The ultimate purpose of controls is to help managers make better decisions. Controls make managers aware of problems and give them information that is necessary for decision making.

Cont'd.....

There are four process of controlling:

- 1.determine area to control
2. Establishing performance standards
3. Measuring actual performance
4. Comparing measured performance against established standards.
5. Taking corrective action.

Cont'd...

1. Determine Areas to Control:

- ❖ The first major step in the control process is determining the major areas to control
- ❖ It a process of identify critical control points.
- ❖ Critical control points include all the areas of an organization's operations that directly affect the success of its key operations.
- ❖ part of the organization where failures can not be tolerated, and costs in time and money are greatest

Cont'd

2. Establishing performance standards

- ❖ Standard is any established rule or basis of comparison used to measure quantity, cost, quality, or, performance.
- ❖ Standard is pre-determined amount of desired performance which use as the basis for measurement.

3. Measuring actual performance

- ❖ After standards are established, managers must measure actual performance to determine variation from standards.
- ❖ From the methods of measuring performance personal observation, statistical reports, oral reports and written reports.

Cont'd.....

4. Comparing measured performance against established standards.

- ❖ Comparison of actual performance with the set standards leads to identification of deviations needing attention .
- ❖ If there is significant deviation, managers should analyze the real causes of deviations to take actions.
- ❖ Nevertheless, every deviation from the plan doesn't require corrective action

Cont'd.....

5. Taking corrective action

- ❖ Once the underlying causes of deviations have been identified, the next step is to take corrective actions.
- ❖ The corrective action helps to avoid repetition of the problem or defect.

Types of controlling

❖ Supervisors can implement controlling at three stages:

- Before the process begins (**feed forward**)
- During the process (**concurrent**) or
- After it ceases (**feedback**)

1. **Feed forward , preventive controlling or input controlling**

❖ It focus on operation before it begins.

❖ It allow managers to anticipate problems before they arise.

Example

- Carefully screening job applicants and using several effective interviews.

Cont'd...

2. Concurrent, screening, checking or yes-no controlling

- ❖ Are controls that give managers immediate feedback.
- ❖ Are controls that apply during process of operations.
- ❖ . It is designed to detect and anticipate deviations from standards at various points throughout the process
- ❖ It involves monitoring of ongoing activities

3. Feedback, post action or output controlling

- ❖ Are controls that focus on the results of operations.
- ❖ They are after the fact or post performance controls.

- ❖ In a feedback control, managers measure actual performance against the standard and take corrective actions if there is any unfavorable variation.
- ❖ The actions have no use for present or already done activities rather for future activities.

Example

- Timely (weekly, monthly, quarterly, annual) controls.

Cont'd.....

Three Types of Control



Characteristics of effective control system

- ❖ **Accuracy**- information that is received from control system should be accurate or real.
- ❖ **Timely**- the information being transferred must be provided on time to allow managers to obtain full benefits from the data.
- ❖ **Economical**- the cost of implementing control system must be less /equal its benefits.
- ❖ **Focus on critical points**- a manager does not have time to control every aspect of operations.
- ❖ **Acceptability**- people must agree that controls are necessary.
- ❖ **Future–Oriented**: Aids to future action
- ❖ **Multidimensional**-To capture major performance factors like quality, quantity, cost...

Controlling cont'd...

- ❖ **Reliability and Validity:** Controls not only must be dependable (reliable), but also must measure what they intend to measure (must be valid).
- ❖ **Monitor able:** can be monitored to ensure that they are performing as expected
- ❖ **Organizationally Realistic:** The control system has to be compatible with organizational realities
- ❖ **Flexible:** must be flexible to respond rapidly to changing environments
- ❖ **Focus on Critical Control Points:** The focus should be on those areas where failures cannot be tolerated, where costs in time and money are the greatest.
- ❖ **Easy to Understand:** The simpler the control, the easier it will be to understand and apply. Controls often become complex because more than one person is responsible for creating, implement
- ❖ **Emphasis on Exception:** only important deviations are brought to the attention of management.

Controlling Cont'd...

Over control versus Under control

- ❖ managers need to avoid over control
- ❖ Overcontrol is the limiting of individual job autonomy to such a point that it seriously inhibits effective job performance.
- ❖ At the same time managers need to avoid going too far in the other direction, which results in a situation of under control.
- ❖ Under control is the granting of autonomy to an employee to such a point that the organization loses its ability to direct the individual's efforts toward achieving organizational goals.
- ❖ Determining the appropriate amount of control that should exist in organizations is a significant management decision

THE END